

M.S.P. Mandal's
Deogiri College
Chhatrapati Sambhajnagar, Maharashtra
(An Autonomous College Affiliated to Dr. Babasaheb Ambedkar Marathwada University)



Certificate

This is to certify that present thesis entitled **“Procedure Challenges and Filing of GSTR-3B”** is a bona-fide work prepared by **Kranti Govind Deshmukh** under my guidance and supervision for the partial fulfillment of B. Com. second year in the Faculty of Commerce & Management, Deogiri College, Chhatrapati Sambhajnagar. He has been fulfilled the requirement for the submission of this field project to the best of my knowledge and not previously submitted to this or any other college / university for the award of any degree and diploma.

Project Guide

Dr. R. B. Lahane
Assistant professor & Research Guide

Head of Department

Prof. Rajesh B. Lahane
Department of Commerce and Management

Place: Chhatrapati Sambhajnagar

Date: / /2026



Declaration

I hereby declare that the present thesis entitled **“Procedure Challenges and Filing of GSTR-3B”** submitted by me for the Partial fulfillment of B. Com. Second year in the faculty of Commerce and Management Deogiri College, Chhatrapati Sambhajinagar. is bona-fide work prepared by me under the guidance of **Dr. R. B. Lahane** further declare that, to the best of my knowledge and the same has not been submitted before this for any degree or diploma to any college / university / institute.

Place: Chhatrapati Sambhajinagar

Name of Student: Kranti Govind Deshmukh Date:
B. Com. Second Year



Acknowledgement

First of all, I express my deep sense of gratitude to my respected guide

Dr. R. B. Lahane, who has very kindly guided me and provided invaluable suggestion along with all kind of intellectual guidance from time to time. He also helped continuous encouragement, precious guidance and supervision for the success of this work. Otherwise, it would not have been possible me to complete this work.

I am extremely grateful to **Prof. Ravi Patil** (Principal) and **Dr. Ganesh Mohite**, (Vice Principal) of Deogiri College for their encouragement. I am also indebted to **Prof. Rajesh B. Lahane**, Head, Department of Commerce, **Prof. K. A. Thombre**, **Prof. V. B. Waykar**, **Dr. P. L. Chitnis**, **Dr. A. C. Dhotre**, **Dr. B. N. Shinde**, **Dr. D. V. Jawale**, **Dr. S. N. Salvi**, **A.G. Patil**, **Miss. Sneha Ashok**, **Prof. Sunil Dabhade**, **Dr. Bhagwat Chopade**, **Mr. Rameshwar Pathade** and all teaching and non-teaching staff of Department of Commerce and management, Deogiri College, Chhatrapati Sambhajanagar for their proper motivation to complete this research work.

I express my deep sense of gratitude to my mother, father, and all my family members who helped me to complete this research work.

Finally I record my sincere gratefulness to all those who helped me directly or indirectly to complete this research work.

(Name of the Student)

Contents

Chapters	Title	Page No.
	Title Page	i
	Certificate	ii
	Declaration	iii
	Acknowledgement	iv
	Contents	v
Chapter I	Introduction to GST and GSTR-3B filing	1-16
Chapter II	Review of literature	17-22
Chapter III	Profile of GST and the concept of GSTR-3B	23-43
Chapter IV	Data Collection and Analysis of GSTR-3B	44-68
Chapter V	Summary, Conclusions and Suggestion.	69-83
	Bibliography	84-86
	Annexure	87-96

CHAPTER 1:

Introduction to GST



1.1 Overview of Goods and Services Tax (GST)

Goods and Services Tax, popularly known as GST, is one of the most significant and transformative indirect tax reforms in the history of independent India.

Implemented on 1st July 2017, GST replaced a fragmented and cumbersome web of Central and State taxes that had plagued the Indian taxation system for decades. Built on the foundational principle of "One Nation, One Tax, One Market," GST introduced a unified, comprehensive, and destination based indirect tax on the supply of goods and services across India.

Before the advent of GST, businesses operating in India were required to comply with a multitude of taxes levied separately by the Central Government and State Governments. These included Central Excise Duty, Service Tax, Central Sales Tax (CST), Value Added Tax (VAT), Octroi, Entry Tax, Entertainment Tax, Luxury Tax, and several other levies. This multiplicity of taxes not only created enormous compliance burdens for businesses but also resulted in a cascading effect, commonly known as "tax on tax," where taxes were levied on the value of goods inclusive of taxes already paid at earlier stages of the supply chain. The result was an artificial inflation of prices, inefficiencies in production and distribution, and widespread tax evasion.

GST, as a comprehensive indirect tax, sought to eliminate all these distortions. By subsuming over 17 Central and State taxes and more than 23 cesses into a single framework, GST brought about a fundamental transformation in the way indirect taxation works in India. It is levied on every stage of the supply chain, but through the seamless availability of Input Tax Credit (ITC), the final tax burden rests only on the end consumer. Every business in the chain pays tax only on the value it adds, making the system economically efficient, transparent, and neutral.

GST is a destination based tax, meaning that the tax revenue accrues to the state where the goods or services are ultimately consumed, rather than the state from which they originate. This was a paradigm shift from the earlier origin based taxation framework and was designed to create a level playing field across all states and promote the free movement of goods and services across the country.

1.2 Historical Background and Evolution of GST in India

The journey of GST in India is not a story of overnight transformation. It is a chronicle of more than fifteen years of deliberation, negotiation, political consensus building, constitutional amendments, and legislative action. Understanding this history is essential to appreciating the magnitude of the reform.

The Early Conceptualisation (2000 to 2006)

The concept of a national GST for India was first mooted by the Kelkar Task Force on Indirect Taxes in the year 2003. The Task Force, in its report, recommended the replacement of the prevailing system of Central Excise, Service Tax, and VAT with a comprehensive Goods and Services Tax to be levied at both the Central and State levels. The recommendation was driven by the need to eliminate the cascading effect of multiple taxes and to create a more efficient and neutral indirect tax system.

In his Union Budget speech of 2006, then Finance Minister P. Chidambaram formally announced the government's intention to implement GST from 1st April 2010. The Empowered Committee of State Finance Ministers, chaired by Dr. Asim Dasgupta of West Bengal, was tasked with designing the architecture of the GST model for India.

The Empowered Committee and Early Drafts (2007 to 2011)

The Empowered Committee released the First Discussion Paper on GST in November 2009, which laid out the broad contours of the proposed GST structure, including the dual GST model, the treatment of interstate transactions through an Integrated GST mechanism, and the classification of goods and services for tax purposes.

However, the path to implementation was far from smooth. Significant disagreements emerged between the Central Government and various State Governments on several critical issues, including the extent of the tax base, the inclusion of petroleum products and alcohol under GST, the compensation

mechanism for states that might experience revenue loss post implementation, and the administrative structure for GST governance. As a result, the Constitution (115th Amendment) Bill, 2011, which was introduced in Parliament to enable GST, lapsed with the dissolution of the 15th Lok Sabha in 2014 without being passed.

The NDA Government and the Final Push (2014 to 2016)

The new National Democratic Alliance (NDA) government that came to power in May 2014 under Prime Minister Narendra Modi made GST a top legislative priority. The Constitution (122nd Amendment) Bill, 2014 was introduced in the Lok Sabha in December 2014 and was passed by the Lower House in May 2015. However, it faced a prolonged delay in the Rajya Sabha, where the ruling coalition did not have a majority, and extensive negotiations with opposition parties were required to address concerns about revenue compensation to states, the cap on the GST rate, and the treatment of the one percent additional tax on interstate supplies.

After multiple rounds of negotiations and the incorporation of significant amendments, the Constitution (122nd Amendment) Bill was finally passed by the Rajya Sabha in August 2016. It was subsequently ratified by more than half of the State Legislatures and received the assent of the President of India on 8th September 2016, thereby becoming the Constitution (101st Amendment) Act, 2016. This constitutional amendment laid the legal foundation for the levy of GST by both the Parliament and State Legislatures simultaneously on the same transaction.

The GST Council and the Legislative Framework (2016 to 2017)

Following the constitutional amendment, the GST Council was constituted on 15th September 2016 under the newly inserted Article 279A of the Constitution of India. The Council, comprising the Union Finance Minister as Chairperson and the Finance Ministers of all States and Union Territories as members, held numerous meetings over the following months to finalise the GST rate structure, draft the supporting legislation, and resolve outstanding issues.

Four central GST legislations, namely the Central Goods and Services Tax Act (CGST Act), the Integrated Goods and Services Tax Act (IGST Act), the Union Territory Goods and Services Tax Act (UTGST Act), and the Goods and Services Tax (Compensation to States) Act, were passed by Parliament in April 2017. All States and Union Territories subsequently enacted their respective State GST (SGST) or UTGST laws.

The Grand Launch

On the midnight of 30th June and 1st July 2017, GST was officially launched in a special ceremony held in the Central Hall of Parliament, attended by the President of India, the Vice President, the Prime Minister, and the Finance Minister. With this historic launch, India joined a global community of over 160 countries that had adopted the GST or Value Added Tax (VAT) framework for indirect taxation.

1.3 Constitutional Framework of GST

GST in India rests on a solid constitutional foundation established by the Constitution (101st Amendment) Act, 2016. The amendment introduced and modified several provisions of the Constitution to enable the concurrent levy of GST by the Centre and States.

Article 246A is the cornerstone of the GST framework. It is a newly inserted article that grants Parliament the power to make laws with respect to GST in respect of inter state trade or commerce, and grants both Parliament and State Legislatures the concurrent power to make laws with respect to GST in respect of intra state supply. This concurrent taxing power for both the Centre and States on the same supply was a novel feature in Indian constitutional history.

Article 269A, as amended, provides for the levy and collection of GST on supplies in the course of inter state trade or commerce by the Central Government. The proceeds of IGST are apportioned between the Centre and the States in a manner recommended by the GST Council.

Article 279A provides for the constitution of the GST Council as a joint forum of the Centre and the States. The Council is chaired by the Union Finance Minister and includes the Union Minister of State for Finance and the Finance Ministers (or any other nominated minister) of all States as members. Decisions of the Council are made by a three fourths weighted majority, with votes of the Centre carrying one third weight and the combined votes of all States carrying two thirds weight.

The Seventh Schedule of the Constitution was also amended to remove entries for taxes subsumed under GST from the Union List and State List, and to enable GST through a new enabling entry.

1.4 Structure and Types of GST in India

India adopted a dual GST model, a structure uniquely suited to its federal polity where both the Centre and the States have constitutionally guaranteed taxing powers. Under this model, both the Central Government and the State Government levy and collect GST simultaneously on the same supply, each getting a share of the total tax collected.

Central Goods and Services Tax (CGST)

CGST is levied and collected by the Central Government on all intra state supplies of goods and services, i.e., supplies that take place within the boundaries of a single state or union territory. The revenue collected under CGST goes entirely to the Consolidated Fund of India. CGST is governed by the Central Goods and Services Tax Act, 2017.

State Goods and Services Tax (SGST)

SGST is levied and collected by the respective State Government on all intra state supplies of goods and services. The revenue collected under SGST goes entirely to the Consolidated Fund of the respective State. Each state has enacted its own SGST Act, based on the Model SGST Act approved by the GST Council, with minor state specific variations.

Integrated Goods and Services Tax (IGST)

IGST is levied and collected by the Central Government on all inter state supplies of goods and services, i.e., supplies that involve movement of goods or provision of services from one state to another, as well as on imports of goods and services into India. IGST is equal to the sum of CGST and SGST rates applicable to the supply. After collection, the IGST revenue is apportioned between the Central Government and the destination State Government. This mechanism ensures that the tax revenue flows to the state where the goods or services are finally consumed, making GST a true destination based tax and eliminating the earlier system of origin based taxation that had long distorted interstate commerce in India.

Union Territory Goods and Services Tax (UTGST)

UTGST is levied and collected by the Central Government on intra UT supplies in Union Territories without a legislature, such as Chandigarh, Dadra and Nagar Haveli and Daman and Diu, Lakshadweep, and the Andaman and Nicobar Islands. This creates revenue for UT just like the SGST for States.

1.5 GST Rate Structure

One of the defining features of the GST framework in India is its tiered rate structure, designed to ensure that essential commodities of daily use attract lower or zero rates while luxury goods and goods with adverse social consequences attract higher rates. The GST rate structure in India is broadly as follows:

Zero Rate (0 percent or Nil): Essential commodities and items of mass consumption such as fresh fruits, vegetables, milk, eggs, curd, bread, books, educational services, and services provided by the government attract a nil rate of GST. This ensures that the basic necessities of the common man are not burdened by indirect taxation.

Five Percent Rate: Items falling under this slab include packaged food items, tea, coffee, edible oils, medicines, coal, domestic LPG, transport services such as railways and economy class air travel, and certain other goods and services that are considered important for the economy or the common person but are not completely exempt.

Twelve Percent Rate: This rate applies to processed food items, butter, cheese, fruit juices, computers, business class air travel, and several other goods and services. This slab occupies the middle ground between essential and luxury goods.

Eighteen Percent Rate: The 18 percent slab is the most widely applicable rate and covers the largest number of goods and services, including electronics, home appliances, capital goods, financial services, information technology services, restaurant services (air conditioned), and many other categories.

Twenty Eight Percent Rate: The highest GST rate applies to luxury goods and demerit goods such as large automobiles, motorcycles, luxury hotel accommodation, tobacco and tobacco products, aerated beverages, and cement. In addition to the 28 percent GST, a GST Compensation Cess is levied on certain goods in this category, such as tobacco products, pan masala, coal, and luxury and mid segment cars, to fund compensation payable to states for revenue losses arising from GST implementation.

The GST Council has been continuously reviewing and rationalising the rate structure since 2017. Numerous goods and services have been shifted to lower slabs or exempted entirely as a result of representations from industry, traders, and consumers.

1.6 Key Features of GST

Input Tax Credit (ITC): The most transformative feature of GST is the mechanism of seamless Input Tax Credit. Every registered taxpayer in the GST chain is entitled to take credit of the GST paid on its inward supplies (purchases of goods and services used for business purposes) and utilise this credit to offset the GST liability on its outward supplies (sales). This chain of ITC, flowing from the producer of raw materials to the final retailer selling to the consumer, eliminates the cascading effect and ensures that the tax is effectively levied only on the value added at each stage of the supply chain.

Destination Based Tax: As explained earlier, GST is levied at the point of consumption. This ensures that the tax revenue flows to the state where the goods or services are actually used or consumed, promoting horizontal equity among states with different levels of industrialisation and consumption.

Threshold Exemption: To protect small businesses and reduce compliance burden at the bottom of the economic pyramid, GST provides an exemption from registration and tax payment for businesses with an annual aggregate turnover below a prescribed threshold limit. As of 2024, the threshold is Rs. 40 lakhs for businesses supplying goods (Rs. 20 lakhs for special category states in the northeast and hilly regions) and Rs. 20 lakhs for businesses providing services.

Composition Scheme: For small taxpayers with annual turnover up to Rs. 1.5 crore (Rs. 75 lakhs for special category states), the Composition Scheme allows payment of GST at a flat, reduced rate on turnover without the requirement to maintain detailed records, match invoices, or file multiple complex returns. Composition dealers cannot claim ITC and cannot collect GST from customers. This scheme has provided significant relief to millions of small traders and manufacturers across India.

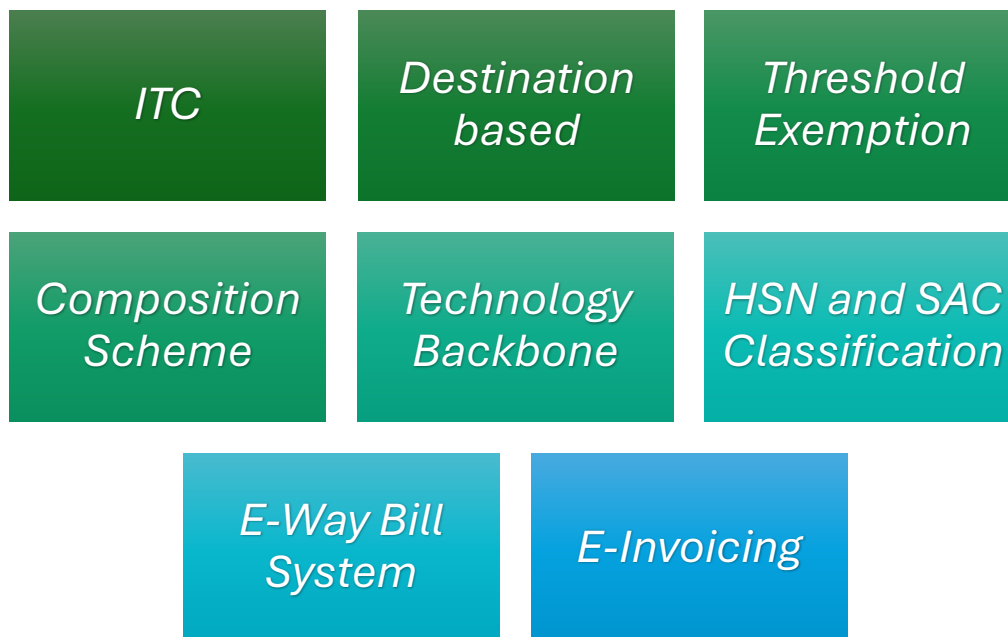
Technology Backbone through GSTN: GST is administered through a robust technology platform provided by the Goods and Services Tax Network (GSTN), a non profit organisation that provides IT infrastructure and services to all GST stakeholders. The common GST portal (www.gst.gov.in) is the single point of interface between taxpayers and the tax administration for all processes including registration, return filing, payment, refund claims, and correspondence.

HSN and SAC Classification: Goods under GST are classified using the Harmonised System of Nomenclature (HSN) codes, an internationally recognised commodity classification system developed by the World Customs Organisation.

Services are classified using Service Accounting Codes (SAC). The use of standard international classification codes ensures uniformity, reduces classification disputes, and facilitates international trade comparisons.

E-Way Bill System: The e Way Bill is an electronically generated document that must accompany the physical movement of goods valued above Rs. 50,000. It is generated on the GSTN portal by the consignor, consignee, or transporter before the movement of goods begins. The e Way Bill system replaced the cumbersome state level way bill and check post systems, dramatically reducing transit time and logistics costs across the country.

E-Invoicing: From 1st October 2020, businesses above a prescribed turnover threshold are required to report their B2B (business to business) invoices in real time to the Invoice Registration Portal (IRP), which assigns a unique Invoice Reference Number (IRN) and a QR code to each invoice. e Invoicing has significantly improved the accuracy of ITC claims, reduced invoice fraud, and enhanced the audit capability of tax authorities.



1.7 Advantages and Significance of GST

GST has had a wide ranging and largely positive impact on the Indian economy, industry, and consumers. The key benefits of GST are as follows:

Elimination of Cascading Effect: The seamless ITC mechanism under GST has comprehensively eliminated the cascading effect that characterised the earlier indirect tax system. The reduction in the overall tax burden embedded in the price of goods and services has made Indian products more competitive both domestically and in international markets.

Creation of a Unified National Market: By replacing the multitude of state and central taxes with a single tax framework and removing state border check posts and entry taxes, GST has effectively created one unified national market in India. This has facilitated the free movement of goods across states, reduced logistics costs, improved supply chain efficiency, and promoted economies of scale in manufacturing and distribution.

Revenue Buoyancy: GST has demonstrated strong revenue buoyancy as the system has matured. Monthly GST collections consistently crossed Rs. 1 lakh crore from April 2021 onwards, and the total annual collection crossed Rs. 20 lakh crores in the financial year 2023 to 2024. This sustained revenue growth has provided financial stability to both the Central and State Governments.

Wider Tax Base and Formalisation of the Economy: The number of registered taxpayers under GST has grown from approximately 65 lakhs under the old tax regime to over 1.40 crore by 2024. The technology driven compliance mechanisms, particularly invoice matching, e invoicing, and e Way Bills, have brought a large segment of the informal economy under the formal tax net, promoting greater economic transparency and accountability.

Ease of Doing Business: The replacement of multiple tax registrations, returns, and payments across different state and central tax authorities with a relatively unified framework administered through a single online portal has substantially reduced the compliance burden for businesses, particularly those operating across



multiple states. This has contributed to improvements in India's rankings in global ease of doing business assessments.

Curbing Tax Evasion: The self policing nature of GST, where each buyer in the chain has an incentive to ensure that the seller has paid tax (since ITC is available only if the seller has remitted tax to the government), combined with the technology driven audit trail from invoice to tax payment, has significantly reduced opportunities for tax evasion and underreporting.

1.8 GST Return Filing: An Overview

Compliance under GST is primarily achieved through the periodic filing of returns on the GSTN portal. A GST return is a formal declaration by a registered taxpayer containing details of all supplies made and received during a given period, the tax collected on outward supplies, the tax paid on inward supplies, and the net tax payable or refundable after utilising Input Tax Credit. The GST return framework serves multiple purposes: it enables self assessment of tax liability by the taxpayer, provides the government with data on economic activity and tax compliance, and creates the documentary audit trail necessary for enforcement.

The GST return filing framework encompasses several different forms, each designed for a specific category of taxpayer or a specific purpose. Regular taxpayers (those not under the Composition Scheme) are primarily required to file GSTR-1 (details of outward supplies), GSTR-3B (a monthly summary return for payment of tax), and GSTR-9 (annual return). E commerce operators, input service distributors, non resident taxpayers, and government deductors of tax at source have separate, specialised return forms applicable to them.

Among all the returns prescribed under the GST framework, Form GSTR-3B occupies a position of central importance. It is a monthly self declaration return that every regular GST taxpayer is required to file, disclosing a summary of their outward and inward supplies, the eligible Input Tax Credit for the period, and arriving at the net tax payable after adjusting ITC. Crucially, GSTR-3B is also the vehicle through which the taxpayer makes the actual payment of GST for each tax period. No other return has as direct and immediate an impact on a taxpayer's cash flow, compliance status, and relationship with the tax authorities as GSTR-3B.

The significance of GSTR-3B goes beyond mere compliance. Errors, omissions, or delays in filing GSTR-3B can result in interest liability, late fees, denial of ITC to buyers, and even suspension or cancellation of GST registration in cases of

persistent non filing. The accuracy and timeliness of GSTR-3B filing are therefore of paramount importance to every registered business in India.

The processes, legal requirements, compliance obligations, and practical challenges associated with the filing of GSTR-3B form the central subject of this report and will be examined in comprehensive detail in the chapters that follow.

(This chapter has provided a comprehensive introduction to the Goods and Services Tax in India, covering its conceptual foundation, historical evolution, constitutional basis, structural framework, rate structure, key features, economic significance, and the role of return filing in the GST compliance ecosystem. The introduction to GSTR-3B at the close of this chapter sets the stage for a focused examination of its filing process, legal framework, compliance requirements, and the challenges faced by taxpayers and practitioners in the chapters ahead.)

CHAPTER 2:

Literature Review

2.1 Introduction to the Literature Review

A literature review forms an indispensable component of any academic research endeavour. It establishes the theoretical and empirical context within which the present study is situated, identifies the existing body of knowledge on the subject, highlights the gaps that the current research seeks to address, and provides a critical synthesis of the findings of scholars, researchers, policymakers, and practitioners who have examined the topic before. The present chapter reviews the existing literature on Goods and Services Tax in India, with particular emphasis on studies pertaining to GST return filing, GSTR-3B compliance, and the challenges faced by taxpayers and practitioners in the GST regime.

The literature on GST in India can be broadly categorised into four streams: studies on the overall design, structure, and macroeconomic impact of GST; studies on compliance behaviour and taxpayer experiences under GST; studies specifically focused on the return filing mechanism and its challenges; and comparative studies examining India's GST framework in the context of international GST or VAT systems. Each of these streams is reviewed in the sections that follow.



Literature Review

2.2 Studies on the Design, Structure, and Macroeconomic Impact of GST

Empowered Committee of State Finance Ministers (2009) released the First Discussion Paper on GST which provided the official framework for the proposed Indian GST. The paper outlined the dual GST model (CGST and SGST), the IGST mechanism for interstate transactions, the treatment of petroleum and alcohol, and the question of revenue compensation to states.

National Institute of Public Finance and Policy, NIPFP (2009, 2012) produced several working papers examining the revenue implications of GST for the Centre and States. Their analysis suggested that a well designed GST with a broad base could yield significant revenue gains while also improving the efficiency of the tax system. The NIPFP studies were influential in shaping the debate on threshold levels, the treatment of small taxpayers, and the rate structure.

Kumar, Naresh (2014) in his paper on GST in India examined the revenue implications for States and argued that while the long term fiscal benefits of GST were substantial, the transition would inevitably create short term revenue disruptions for States that were heavily dependent on taxes being subsumed under GST, particularly those with a large manufacturing base. He emphasised the importance of a well structured and adequately funded compensation mechanism to ensure that States did not experience a deterioration in their fiscal positions in the initial years of GST.

ICRIER (2017) published a comprehensive study on the potential macroeconomic impact of GST at the time of its launch. The study projected that GST would lead to a reduction in the cost of production of goods by approximately 25 to 30 percent through the elimination of the cascading effect, a significant reduction in logistics costs due to the removal of state check posts and entry taxes, and an increase in export competitiveness. The study also noted that the transition to GST would require significant investment in technology and capacity building, particularly among small and medium enterprises.

Sehrawat, M. and Dhanda, U. (2015) conducted an empirical analysis of the cascading effect of the pre GST tax system and quantified the extent of tax on tax that businesses across different sectors were bearing. Their study provided concrete empirical evidence for one of the central arguments in favour of GST, namely that the elimination of cascading would result in a tangible reduction in the embedded tax cost in goods and services, benefiting all.

2.3 Studies on GST Compliance, Taxpayer Behaviour, and Implementation Challenges

Garg, Girish (2014) in his paper titled "Basic Concepts and Features of Good and Services Tax in India" provided an early academic examination of the proposed GST framework and highlighted the compliance challenges that were likely to arise during the transition. He specifically pointed to the multiplicity of return forms, the requirement for invoice level matching, and the limited technological readiness of small businesses as potential impediments to smooth GST implementation. His analysis proved prescient given the compliance difficulties that emerged in the initial months following the GST launch in 2017.

Taqvi, S.M.A., Srivastava, A.K. and Srivastava, R.K. (2013) in an earlier study on VAT compliance in India noted that compliance costs for small and medium enterprises under the state VAT system were disproportionately high relative to their tax liabilities, a finding with direct implications for the design of the GST compliance framework. They argued that simplification of return forms, reduction in filing frequency, and investment in taxpayer education were essential prerequisites for achieving high voluntary compliance rates under any reformed indirect tax system.

Bhattacharyya, S. (2017) examined the impact of GST on small and medium enterprises immediately after implementation and documented widespread confusion about registration requirements, return filing obligations, the treatment of transition stock, and the functioning of the GSTN portal. His study, based on field surveys in West Bengal and Maharashtra, found that SMEs were bearing significant compliance costs in the initial months of GST, partly due to the complexity of the return framework and partly due to the technical glitches in the GSTN portal. He recommended urgent simplification of the compliance framework and IT system improvements.

Jain, Rekha (2018) in her study on the impact of GST on the Indian economy one year after its launch provided a balanced assessment of the achievements and shortcomings of GST in its first year. She noted that while GST had successfully subsumed most of the pre existing indirect taxes and created a unified national market, the compliance burden remained high for small businesses, the technology platform had not performed to the required standard, and the anti evasion benefits of the invoice matching mechanism had not yet been fully realised due to the suspension of GSTR-2 and GSTR-3 filing. She also highlighted the revenue pressures faced by states in the first year due to the problems in new system.

2.4 Studies Specifically on GST Return Filing and GSTR-3B

Pandey, Anshul (2019) conducted a detailed analysis of the GSTR-3B filing process and highlighted several areas of confusion for taxpayers, including the correct treatment of ITC reversals, the reconciliation of GSTR-3B data with GSTR-1 data, and the implications of mismatches between the two returns. He noted that the absence of a comprehensive official guidance document on GSTR-3B had led to widespread errors in filing, many of which resulted in interest demands and notices from tax authorities. He recommended the issuance of detailed FAQs and instructional material by CBIC to guide taxpayers.

Saravanan, P. and Rajeshkumar, S. (2019) surveyed GST practitioners (Chartered Accountants and Tax Consultants) in Tamil Nadu on the challenges they faced in assisting clients with GSTR-3B compliance. The study found that the most frequently cited challenges were the complexity of ITC eligibility rules, the difficulty of reconciling purchase data with GSTR-2A, the risk of interest on delayed payment of tax, and the frequent changes in GSTR-3B filing deadlines and formats. Practitioners also reported that the lack of an effective mechanism to revise GSTR-3B after filing was a significant source of compliance risk for their clients.

Batra, Gaurav (2020) examined the evolution of the GSTR-3B form and its filing requirements since its introduction in July 2017 and noted that the form had undergone numerous modifications in response to taxpayer feedback and the evolving needs of tax administration. He documented the progressive introduction of auto population of data from GSTR-1 into GSTR-3B, the introduction of the GSTR-2B statement for ITC reconciliation, and the tightening of ITC availment rules to prevent fraudulent claims. He concluded that while these changes had improved the accuracy and auditability of GSTR-3B, they had also increased the complexity of the form for taxpayers, particularly small businesses without dedicated finance teams.

Singh, Kuldeep and Aggarwal, Monika (2020) in their study on ITC compliance under GST found that a significant proportion of GST registered businesses were either over claiming or under claiming ITC in their GSTR-3B filings, often due to a lack of understanding of the eligibility conditions, the requirement to reverse ITC on exempt supplies and personal use, and the restrictions on ITC related to construction and motor vehicles. They recommended mandatory training programmes for taxpayers and the development of automated ITC calculation tools to reduce errors.

2.5 Research Gap and Relevance of the Present Study

A review of the existing literature reveals that while there is a substantial body of research on the overall design, macroeconomic impact, and general compliance challenges of GST in India, there is a relative paucity of focused academic research specifically on the GSTR-3B return, its filing process, the legal and compliance framework governing it, and the practical challenges faced by different categories of taxpayers in meeting their GSTR-3B obligations. Most studies have either examined GST compliance in general terms or have focused on specific sectors or regions, without providing a comprehensive and systematic analysis of GSTR-3B as a compliance instrument.

Furthermore, the GST framework has undergone significant changes since 2017, including the introduction of GSTR-2B, the tightening of ITC availment conditions under Rule 36(4) and subsequently under Section 16(2)(aa) of the CGST Act, the introduction of e invoicing and its integration with GSTR-3B, and the progressive automation of GSTR-3B through auto population from GSTR-1 and GSTR-2B. These recent developments have not been comprehensively addressed in the existing literature.

The present study seeks to fill this gap by providing a comprehensive, up to date, and systematic analysis of the GSTR-3B filing process, the compliance framework, and the challenges faced by taxpayers and practitioners. By examining both the legal and procedural dimensions of GSTR-3B compliance and grounding the analysis in the lived experience of taxpayers and practitioners, the study aims to make a meaningful contribution to the academic and policy literature on GST compliance in India.

(This chapter has reviewed the key bodies of literature relevant to the present study, spanning the design and macroeconomic impact of GST, compliance behaviour and implementation challenges, studies specifically focused on GST return filing and GSTR-3B, and international comparative research. The gaps identified in the existing literature provide the academic justification for the present study and define the specific contribution it seeks to make. The subsequent chapters will build on this foundation to present a detailed analysis of the GSTR-3B filing process, compliance framework, and associated challenges.)

CHAPTER 3:

Profile of GST and

Concept of GSTR-3B



3.1 GST Returns and E-Filing: An Overview

3.1.1 What is a GST Return?

A GST return is a formal document that a registered taxpayer is required to file with the tax authorities under the Goods and Services Tax framework, containing details of all transactions undertaken during a specified tax period. It is essentially a self declaration by the taxpayer to the government, disclosing the value and nature of goods and services supplied by them (outward supplies), the goods and services received by them (inward supplies), the Input Tax Credit availed on inward supplies, the tax collected from customers, and the net tax payable to or refundable from the government after adjusting the Input Tax Credit against the output tax liability.

The GST return is not merely a reporting formality. It is the legal instrument through which the entire GST compliance mechanism operates. It creates a verifiable, time stamped, digital record of every taxpayer's economic activity and tax obligations for each period, forms the basis for government revenue collection, enables the seamless flow of Input Tax Credit across the supply chain, and provides the audit trail that tax authorities rely upon for scrutiny, enforcement, and dispute resolution. In a fundamental sense, the GST return is the beating heart of the GST system. Without accurate, timely, and complete return filing by every registered taxpayer in the chain, the core promise of GST, namely seamless ITC, elimination of cascading, and a unified national tax system, cannot be realised.

Every GST registered person is required to file returns periodically, typically monthly or quarterly depending on their category and turnover, even if they have had no transactions during the period (in which case a NIL return must be filed). The failure to file a return within the prescribed due date attracts a late fee under Section 47 of the CGST Act, and the failure to pay the tax due as per the return attracts interest under Section 50 of the CGST Act. Persistent non filing can result in suspension or cancellation of the taxpayer's GST registration.

The information furnished in GST returns is used by tax authorities for multiple purposes, including verification of tax payments, matching of outward supply data declared by a seller with inward supply data of the corresponding buyer to validate ITC claims, identification of discrepancies and mismatches that may indicate underreporting or evasion, generation of macro level economic data and revenue forecasts, and targeted enforcement action against non compliant taxpayers.

3.1.2 E-Filing of GST Returns

One of the most transformative aspects of the GST framework in India is its entirely paperless, technology driven compliance architecture. All GST returns in India are filed electronically, through the common GST portal at www.gst.gov.in, which is maintained and operated by the Goods and Services Tax Network (GSTN). There is no provision for physical filing of GST returns. E-filing is not merely a preferred mode but the only legally recognised mode of filing GST returns in India.

The GST portal serves as the single unified interface between taxpayers and the tax administration for all compliance related activities including registration, amendment of registration details, return filing, tax payment, refund claims, appeal filing, and communication with tax authorities. The portal is accessible round the clock and from any location, enabling taxpayers and their authorised representatives to fulfil their compliance obligations without any physical interface with tax offices.

The e-filing process for GST returns is facilitated through multiple modes to accommodate the diverse technological capabilities of different categories of taxpayers. Taxpayers can file returns directly through the GST portal using their login credentials. Alternatively, they can use third party GST Suvidha Providers (GSPs) and Application Service Providers (ASPs), which are entities authorised by GSTN to develop software applications that interface with the GSTN system through APIs (Application Programming Interfaces) and enable filing of returns

through their platforms. Popular accounting and tax software such as Tally, ClearTax, BUSY, Zoho Books, and several others function as ASPs or GSPs and are widely used by businesses and tax practitioners for GST return preparation and filing.

Authentication of e-filed returns is done through Electronic Verification Code (EVC), which is an OTP based verification sent to the registered mobile number and email of the taxpayer, or through a Digital Signature Certificate (DSC), which is mandatory for companies and Limited Liability Partnerships (LLPs). The e-filing of returns is deemed complete only when the return has been successfully submitted on the portal and verified through EVC or DSC, after which an Acknowledgement Reference Number (ARN) is generated, confirming the successful filing of the return.

Tax payments under GST are also made electronically through the GST portal. The taxpayer generates a challan on the portal (PMT-06 for monthly tax payment and GST PMT-08 under QRMP) and makes the payment through net banking, debit card, NEFT, RTGS, or over the counter at authorised bank branches. The amount paid is credited to the taxpayer's Electronic Cash Ledger on the GSTN portal, from which it is applied against the tax liability declared in the return. Input Tax Credit is tracked in the taxpayer's Electronic Credit Ledger and can be used to offset output tax liability before any cash payment is made.

3.1.3 Summary of All GST Return Forms

The GST framework prescribes a comprehensive set of return forms, each designed for a specific category of taxpayer or a specific compliance purpose. The following table provides a consolidated summary of all major GST return forms:

Return Form	Filed By	Purpose	Frequency	Due Date
GSTR-1	Regular Taxpayers	Details of all outward supplies (sales) made during the period	Monthly (turnover above Rs. 5 crore) / Quarterly under QRMP	11th of following month (Monthly) / 13th of month after quarter end (QRMP)
GSTR-1A	Regular Taxpayers	Amendment to GSTR-1 details before filing GSTR-3B	As and when required	Before filing GSTR-3B for that period
GSTR-2A	All Registered Taxpayers	Auto drafted, dynamic view of inward supplies based on suppliers' GSTR-1 filings	Auto generated (dynamic)	Not applicable (view only)
GSTR-2B	All Registered Taxpayers	Auto drafted, static ITC statement based on suppliers' GSTR-1 filings for the period	Auto generated (static, monthly)	Available on 14th of following month
GSTR-3B	Regular Taxpayers	Monthly or quarterly summary self declaration return; primary vehicle for tax payment	Monthly (turnover above Rs. 5 crore) / Quarterly under QRMP	20th of following month (Monthly, general)
GSTR-4	Composition Scheme Taxpayers	Annual return for taxpayers under Composition Scheme	Annually	30th April of following financial year
CMP-08	Composition Scheme Taxpayers	Quarterly statement for payment of self assessed tax by Composition dealers	Quarterly	18th of month after quarter end
GSTR-5	Non Resident Taxable Persons	Details of outward and inward supplies by non resident	Monthly	13th of following month or within 7 days of expiry of registration,

		foreign taxpayers operating in India		whichever is earlier
GSTR-5A	OIDAR Service Providers	Return for providers of Online Information Database Access and Retrieval services from outside India to non registered persons	Monthly	20th of following month
GSTR-6	Input Service Distributors (ISD)	Details of ITC received by ISD and distributed to branches	Monthly	13th of following month
GSTR-7	TDS Deductors	Details of tax deducted at source under GST	Monthly	10th of following month
GSTR-8	E-Commerce Operators	Details of supplies made through e-commerce platform and tax collected at source (TCS)	Monthly	10th of following month
GSTR-9	Regular Taxpayers	Annual return consolidating all monthly or quarterly returns filed during the financial year	Annually	31st December of following financial year
GSTR-9A	Composition Taxpayers	Annual return for Composition Scheme taxpayers (currently suspended)	Annually	31st December of following financial year
GSTR-9C	Taxpayers with turnover above Rs. 5 crores	Self certified reconciliation statement reconciling annual return with audited financial statements	Annually	31st December of following financial year
GSTR-10	Taxpayers whose registration is cancelled or surrendered	Final return to declare outstanding liabilities at time of cancellation	Once, within 3 months of cancellation	Within 3 months of date of cancellation order
GSTR-11	Persons with Unique Identification Number (UIN)	Details of inward supplies for purpose of claiming refund of GST paid (applicable	Monthly, when purchases are made	28th of following month

		to embassies, UN bodies, etc.)		
ITC-04	Manufacturers sending goods to job workers	Details of goods sent to and received from job workers	Half Yearly	25th of month following the half year

The above table illustrates the breadth and complexity of the GST return filing framework. Different categories of taxpayers have distinct return obligations, filing frequencies, and due dates. For regular taxpayers, the most frequently filed and most consequential returns are GSTR-1 and GSTR-3B, which together form the primary compliance cycle for each tax period. GSTR-9 and GSTR-9C serve as the annual reconciliation and accountability mechanism. The specialised returns (GSTR-5, GSTR-6, GSTR-7, GSTR-8, etc.) cater to specific categories of taxpayers with unique roles in the GST supply chain.

Among all these returns, GSTR-3B stands out as the most universally applicable, most frequently filed, and most directly consequential return in the GST compliance framework. Every regular GST taxpayer in India, regardless of their sector, size, or nature of business, is required to file GSTR-3B for every tax period and pay their GST liability through this return. The remainder of this chapter is therefore devoted to a comprehensive and detailed profile of GSTR-3B, covering its nature, legal framework, structure, filing process, due dates, ITC provisions, interest and late fee consequences, and its evolution since its introduction in 2017.



3.2 GSTR-3B: A Detailed Profile

3.2.1 Nature and Significance of GSTR-3B

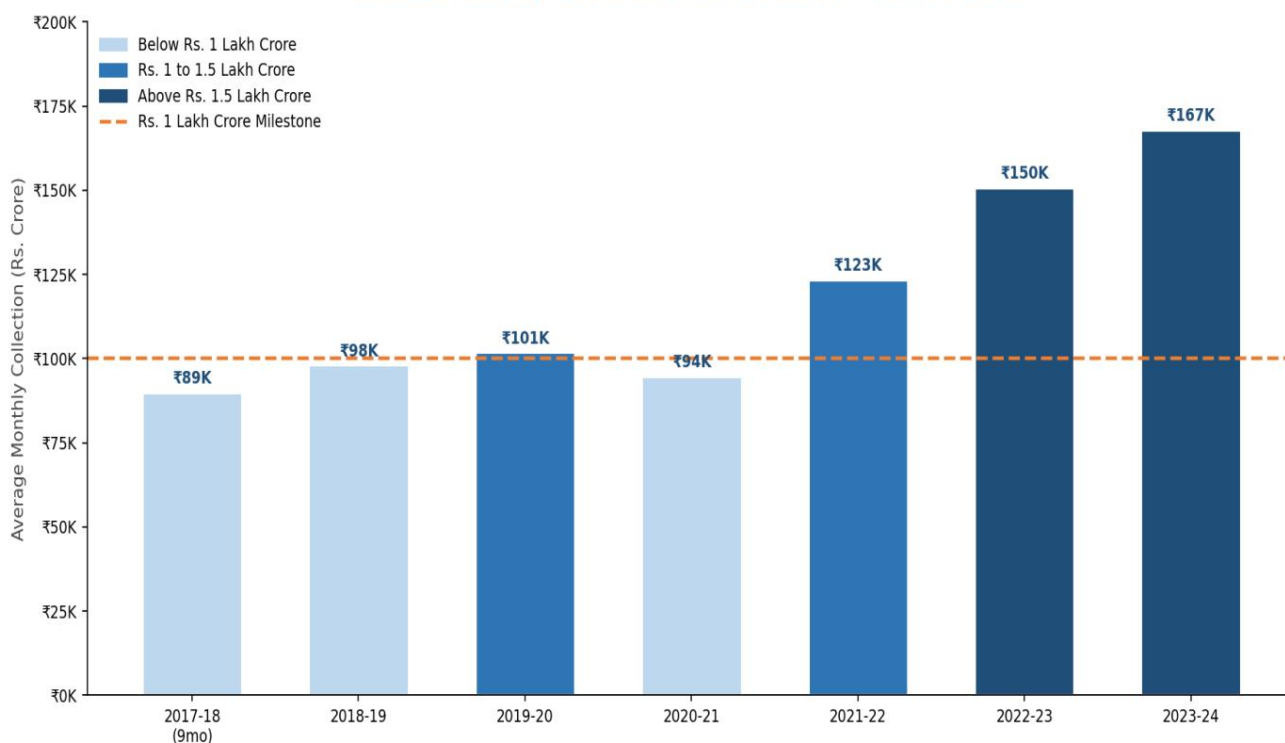
GSTR-3B is a monthly or quarterly self declaration summary return prescribed under Rule 61 of the Central Goods and Services Tax Rules, 2017, read with Section 39 of the CGST Act, 2017. It is required to be filed by every registered person who is categorised as a regular taxpayer under GST, covering the vast majority of the over 1.40 crore GST registered entities in India. The return captures, in a summarised tabular format, the key financial data points of the taxpayer's GST compliance for the tax period: the total value and tax on outward supplies made, the total eligible Input Tax Credit on inward supplies received, ITC reversals if any, and the resultant net tax payable under each head (IGST, CGST, SGST, and Cess) after adjusting available ITC.

What distinguishes GSTR-3B from other returns in the GST framework is its dual function. It is simultaneously a declaration return and a payment return. The taxpayer not only declares their tax position for the period in GSTR-3B but also makes the actual tax payment contemporaneously with or prior to the submission of the return. Under Section 39(7) of the CGST Act, the tax due as per GSTR-3B must be paid not later than the last date on which the return is required to be furnished. This means that filing GSTR-3B without paying the full tax due is legally impermissible and results in the return being treated as an invalid filing, attracting interest on the unpaid tax from the due date until the date of actual payment.

The significance of GSTR-3B in the broader GST compliance ecosystem can hardly be overstated. It is the primary source of GST revenue for both the Central and State Governments, since it is the vehicle through which crores of taxpayers remit their monthly tax obligations. Any systemic failure in GSTR-3B compliance, whether due to non filing, under declaration of outward supplies, or excessive or fraudulent ITC claims, directly and immediately impacts government revenue. Conversely, improvements in GSTR-3B compliance, such as better auto population, more accurate ITC reconciliation tools, and stronger enforcement against non filers, translate directly into higher tax revenues and a more robust and efficient GST system.

The significance of GSTR-3B is further underscored by the sheer scale of its operation. Every month, crores of taxpayers across every state and union territory of India, spanning every conceivable sector of the economy from small street vendors who have crossed the registration threshold to large multinational corporations, are required to file this single return and remit their tax dues through it. The aggregate of all these individual GSTR-3B filings constitutes the monthly GST collection figure that the Ministry of Finance publishes with great attention, and which serves as one of the most closely watched barometers of the health of the Indian economy. In this sense, GSTR-3B is not merely a tax compliance form. It is a living, monthly pulse check of the entire Indian economy.

Average Monthly GST Collection (Rs. Crore) — 2017 to 2024



3.2.2 Who Must File GSTR-3B?

Every GST registered person classified as a regular taxpayer is required to file GSTR-3B. This is the broadest and most inclusive category of GST registrants, covering businesses of all sizes, across all sectors, engaged in the supply of taxable goods or services or both. However, certain specific categories of registered persons are not required to file GSTR-3B and instead file specialised returns applicable to their category. These exceptions are as follows:

- Taxpayers registered under the Composition Scheme are not required to file GSTR-3B. Instead, they file Form CMP-08 (quarterly statement for tax payment) and GSTR-4 (annual return).
- Input Service Distributors (ISDs) are not required to file GSTR-3B. They file GSTR-6 for the purpose of declaring ITC received and distributed to their branches.
- Non Resident Taxable Persons file GSTR-5 and are not required to file GSTR-3B.
- Persons liable to deduct Tax Deducted at Source (TDS) under Section 51 of the CGST Act file GSTR-7 and not GSTR-3B.
- E-commerce operators liable to collect Tax Collected at Source (TCS) under Section 52 of the CGST Act file GSTR-8 and not GSTR-3B.
- All other registered persons, including manufacturers, traders, service providers, exporters, importers, e-commerce sellers (as distinct from e-commerce operators), and government entities making taxable supplies, are required to file GSTR-3B. Even taxpayers who have had no business activity during a period must file a NIL GSTR-3B for that period to maintain their compliance record.

3.2.3 Filing Frequency and Due Dates

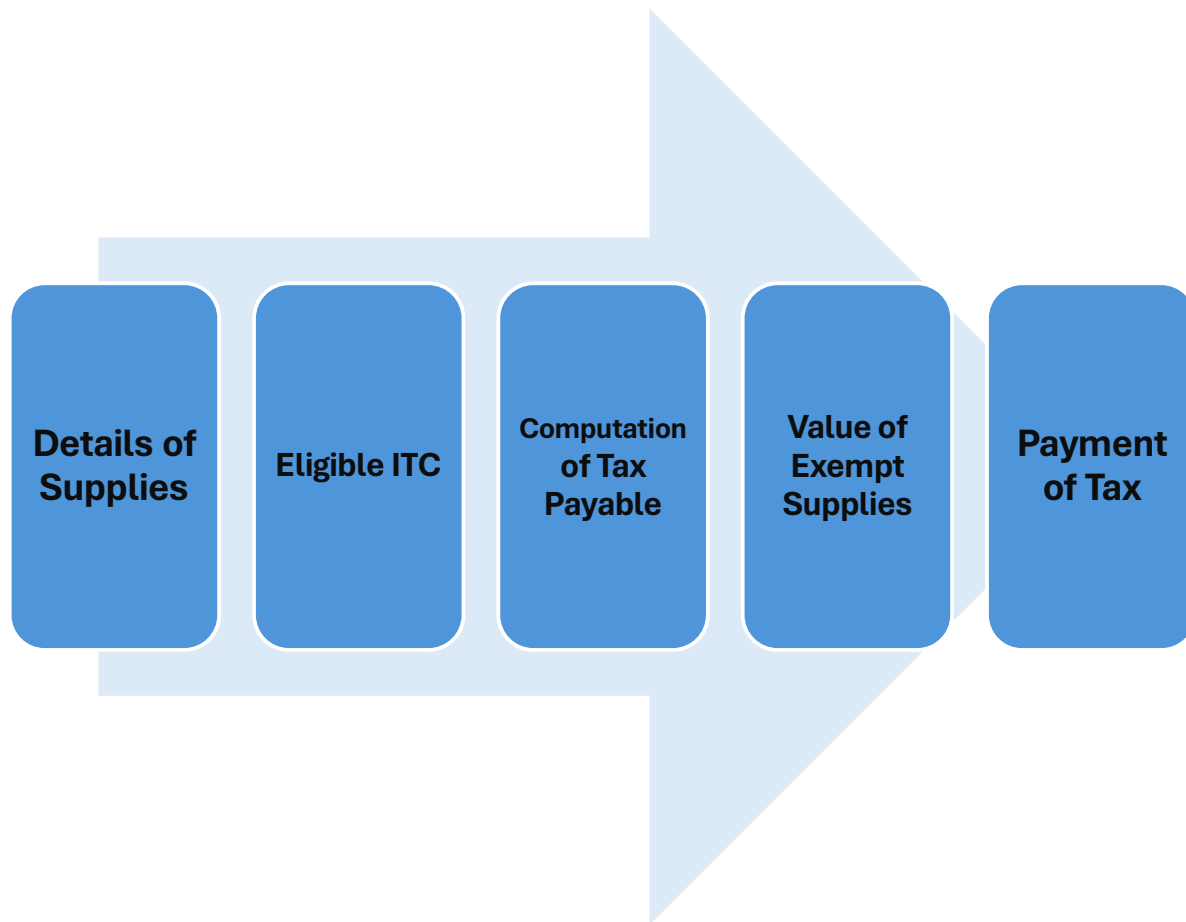
The frequency of GSTR-3B filing and the applicable due dates depend on the annual aggregate turnover of the taxpayer and the filing scheme opted for. The framework is as follows:

- ➔ **Monthly Filing (Turnover above Rs. 5 Crore):** Taxpayers with an annual aggregate turnover exceeding Rs. 5 crores in the preceding financial year are mandatorily required to file GSTR-3B on a monthly basis. The due date for monthly GSTR-3B filing is the 20th of the month following the tax period (i.e., GSTR-3B for the month of January is due on 20th February). However, for taxpayers in certain states and Union Territories, staggered due dates of 22nd and 24th of the following month have been notified to reduce the load on the GSTN portal on a single due date.
- ➔ **Quarterly Filing under QRMP Scheme (Turnover up to Rs. 5 Crore):** Taxpayers with an annual aggregate turnover of up to Rs. 5 crores in the preceding financial year have the option to file GSTR-3B on a quarterly basis under the Quarterly Return Monthly Payment (QRMP) Scheme introduced with effect from 1st January 2021. Under the QRMP Scheme, GSTR-3B is filed quarterly (for the quarters ending June, September, December, and March), with due dates of 22nd or 24th of the month following the end of the quarter, depending on the state of registration. However, these taxpayers are required to make monthly tax payments for the first two months of each quarter through a self assessed tax payment challan (PMT-06), using either the Fixed Sum Method (35 percent of tax paid in the last quarter) or the Self Assessment Method (based on the actual tax liability for that month as computed from books of accounts).

The staggering of due dates by state (20th, 22nd, or 24th) was introduced by the GST Council to distribute the filing load on the GSTN portal across multiple days and reduce the server congestion that had been causing severe portal slowdowns when all taxpayers across India attempted to file on a single due date.

3.2.4 Structure and Tables of GSTR-3B

GSTR-3B is structured as a set of six main tables, each capturing a specific category of information relevant to the taxpayer's GST liability and ITC position for the tax period. A thorough understanding of each table is essential for accurate and compliant GSTR-3B filing.



❖ Details of Outward Supplies and Inward Supplies Liable to Reverse Charge

This is the first and most fundamental table of GSTR-3B. It requires the taxpayer to declare the aggregate value of outward supplies (sales) made during the period, classified into the following categories:

- Outward taxable supplies (other than zero rated, nil rated, and exempt): This covers all regular taxable supplies of goods and services made by the taxpayer to registered or unregistered persons within India, on which GST is leviable at the applicable rate.
- Outward taxable supplies made to zero rated persons on payment of tax (exports and supplies to SEZ units with payment of IGST): This covers supplies made to foreign customers (exports of goods or services) or to Special Economic Zone (SEZ) units or developers where the taxpayer has paid IGST at the applicable rate and intends to claim a refund of such IGST.
- Other zero rated supplies made without payment of tax (exports and SEZ supplies under bond or LUT): This covers exports and SEZ supplies made under a Letter of Undertaking (LUT) or bond without payment of IGST, where the taxpayer intends to claim a refund of accumulated ITC.
- Nil rated and exempt supplies: This covers supplies that are either completely exempt from GST by notification or are nil rated (i.e., taxable at 0 percent). While no tax is payable on these supplies, they must be declared in GSTR-3B as they affect the ITC reversal computation (ITC on inputs used for exempt supplies must be reversed proportionately).
- Inward supplies liable to Reverse Charge: This covers purchases made by the taxpayer from unregistered persons or specific categories of suppliers where the liability to pay GST is on the recipient rather than the supplier under the Reverse Charge Mechanism (RCM). The taxpayer declares these supplies and pays the applicable GST as the recipient, which can then be claimed back as ITC in Table 4 in the same or subsequent periods, subject to eligibility conditions.

❖ Details of Inter State Supplies Made to Unregistered Persons, Composition Taxpayers, and UIN Holders

This table captures the state wise breakup of inter state (IGST) supplies made by the taxpayer to specific categories of recipients, namely unregistered persons (B2C supplies), taxpayers under the Composition Scheme, and holders of Unique Identification Numbers (such as embassies and UN bodies). This data is used by tax authorities to determine the apportionment of IGST revenue between the Centre and the destination State.

❖ Eligible ITC (Input Tax Credit)

This is arguably the most complex and consequential table in GSTR-3B. It requires the taxpayer to declare the total ITC available, the ITC that has been reversed (i.e., disallowed due to ineligibility), and the net ITC available for utilisation against output tax liability. The table is divided into the following sub sections:

- **ITC Available:** This covers ITC on imports of goods, imports of services, inward supplies from ISD, ITC on inward supplies liable to Reverse Charge, and all other ITC (i.e., regular domestic purchases from registered suppliers).
- **ITC Reversed:** This covers ITC that must be reversed as ineligible, including ITC on goods or services used for exempt or personal purposes (under Rule 42 and Rule 43 of CGST Rules), ITC reversed due to non payment of consideration to the supplier within 180 days of the invoice date (under Rule 37), and any other reversals required by law.
- **Net ITC Available:** This is computed as ITC Available minus ITC Reversed and represents the ITC that the taxpayer is actually entitled to utilise against their output tax liability.
- **Ineligible ITC:** This sub section requires the taxpayer to separately report ITC that is blocked under Section 17(5) of the CGST Act (such as ITC on motor vehicles used for personal purposes, food and beverages, club memberships, works contract services for construction of immovable property, etc.) and ITC on supplies used for non business purposes. Reporting of ineligible ITC in GSTR-3B is a compliance requirement even though this ITC is not available for utilisation.

❖ Computation of Tax Payable

This table auto computes the net tax payable by the taxpayer for the period under each head, namely IGST, CGST, SGST or UTGST, and GST Compensation Cess. The computation is based on the output tax liability declared in Table 3.1 less the eligible ITC from Table 3.3, applied in the legally prescribed order of ITC utilisation:

IGST credit is first utilised against IGST liability, then against CGST liability, and finally against SGST liability.

CGST credit is first utilised against CGST liability and then against IGST liability. CGST credit cannot be used against SGST liability.

SGST credit is first utilised against SGST liability and then against IGST liability. SGST credit cannot be used against CGST liability.

The balance tax payable after ITC utilisation is required to be paid in cash through the taxpayer's Electronic Cash Ledger before the GSTR-3B can be submitted.

❖ Values of Exempt, Nil Rated, and Non GST Inward Supplies

This table requires the taxpayer to declare the value of inward supplies (purchases) that are exempt, nil rated, or outside the purview of GST (non GST supplies). This information is relevant for the computation of ITC reversals under Rule 42 and Rule 43 of the CGST Rules, which require proportionate reversal of ITC on inputs and input services used for exempt or non business purposes.

❖ Payment of Tax

This table captures the details of tax actually paid by the taxpayer for the period, distinguishing between the amount of tax paid through ITC utilisation (from the Electronic Credit Ledger) and the amount paid in cash (from the Electronic Cash Ledger). It also captures any interest paid for delayed tax payment and any late fee paid for delayed filing. Accurate completion of Table 3.6 is essential as it provides the legal basis for the tax payment made through GSTR-3B.

3.2.5 The GSTR-3B Filing Process: Step by Step

The process of filing GSTR-3B on the GST portal involves the following steps, which are described in detail as they represent the core procedural aspect of the subject of this study:

Step 1: Login to the GST Portal The taxpayer or their authorised representative logs into the GST portal at www.gst.gov.in using their GSTIN (GST Identification Number) and password. Two factor authentication through OTP is required for secure login.

Step 2: Navigate to the GSTR-3B Filing Section After login, the taxpayer navigates to Services, then Returns, then Returns Dashboard, selects the relevant financial year and tax period, and clicks on the GSTR-3B tile to begin the filing process.

Step 3: Review Auto Populated Data From the financial year 2020 to 2021 onwards, the GST portal auto populates certain fields in GSTR-3B based on the data already submitted by the taxpayer in GSTR-1 (for outward supply details) and the auto drafted GSTR-2B statement (for ITC details). The taxpayer must carefully review all auto populated data and verify it against their own books of accounts and purchase records before accepting or modifying it.

Step 4: Enter or Modify Data in Each Table The taxpayer enters or modifies the data in each table of GSTR-3B as described in the previous section. This includes declaring outward supply details in Table 3.1, inter state supply details in Table 3.2, ITC details in Table 3.3, and inward supply values in Table 3.5. The data entered must be accurate, complete, and consistent with the taxpayer's accounting records and the GSTR-1 and GSTR-2B data available on the portal.

Step 5: Reconcile ITC with GSTR-2B Before finalising Table 3.3, the taxpayer must reconcile the ITC they intend to claim in GSTR-3B with the ITC reflected in their GSTR-2B statement for the period. Under Rule 36(4) of the CGST Rules (as amended) and Section 16(2)(aa) of the CGST Act, ITC can only be claimed to the extent it is reflected in the taxpayer's GSTR-2B. Any ITC not appearing in GSTR-2B (because the supplier has not yet filed GSTR-1) cannot be claimed in the current period's GSTR-3B and must be deferred to the period in which it appears in GSTR-2B.

Step 6: Save the Draft Return The taxpayer saves the draft of GSTR-3B. A saved draft can be modified multiple times before final submission. It is advisable to save the draft and conduct a final review before proceeding to submission.

Step 7: Compute Tax Liability and Make Payment The portal auto computes the net tax payable in Table 3.4 based on the data entered. If there is a tax liability remaining after ITC utilisation, the taxpayer must make the payment through the Electronic Cash Ledger before the return can be submitted. Tax payment is made by generating a challan (GST PMT-06) on the portal and making the payment through the available payment modes.

Step 8: Submit the Return After verifying all data and ensuring that the tax liability has been fully discharged, the taxpayer clicks the Submit button. At this stage, the ITC declared in GSTR-3B is debited from the Electronic Credit Ledger and the cash payment is debited from the Electronic Cash Ledger, and the tax is credited to the respective government heads (IGST, CGST, SGST).

Step 9: File the Return with Digital Signature or EVC After submission, the return must be formally filed by authenticating it through a Digital Signature Certificate (mandatory for companies and LLPs) or an Electronic Verification Code (EVC, which is an OTP sent to the registered mobile number and email). Once filed, the GSTN portal generates an Acknowledgement Reference Number (ARN), confirming the successful filing of GSTR-3B. The return cannot be revised after filing; errors can only be corrected in subsequent periods' returns.

Dashboard
Services
GST Law
Downloads
Search Taxpayer
Help and Taxpayer Facilities
e-Invoice
News and Updates
English

Dashboard
Returns
GSTR-3B

GSTR-3B - Monthly Return
Facilitation in filing GSTR-3B

GSTIN - 24USERS0106A1ZV
Legal Name - Skylark Printings
Status - Not Filed
FY - 2024-25
Return Period - September
Due Date - 20/10/2024

Help

Please click on a box (tile) and enter relevant details therein. Save and click on the next box to enter relevant details. Once you have filled up the information relating to a tile, you will see gross (summary) figures on the tiles. You can view the preview by clicking on Preview button. You can click on Back button to go to previous screen anytime. Data saved by you will not be deleted.

System has not generated summary of Table 3.1(d) and Table 4 of FORM GSTR-3B on the basis of your GSTR-2B as same is not generated for the current tax period.

You have unsaved changes, Please click on SAVE GSTR3B below to save the data.

Click here for system generated summary status for GSTR-3B.
Help Manual

3.1 Tax on outward and reverse charge inward supplies

Integrated Tax	Central Tax
₹100.00	₹200.00
State/UT Tax	CESS (₹)
₹200.00	₹0.00

3.1.1 Supplies notified under section 9(5) of the CGST Act, 2017

Integrated Tax	Central Tax
₹500.00	₹0.00
State/UT Tax	CESS (₹)
₹0.00	₹0.00

3.2 Inter-state supplies

Taxable Value	Integrated Tax
₹0.00	₹0.00

4. Eligible ITC

Integrated Tax	Central Tax
₹0.00	₹0.00
State/UT Tax	CESS (₹)
₹0.00	₹0.00

5. Exempt, nil and Non GST inward supplies

Inter-state supplies	Intra-state supplies
₹0.00	₹0.00

5.1 Interest and Late fee for previous tax period

Integrated Tax	Central Tax
₹0.00	₹250.00
State/UT Tax	CESS (₹)
₹250.00	₹0.00

3.2.6 Interest and Late Fee Provisions

Late Fee under Section 47 of the CGST Act: If GSTR-3B is not filed by the prescribed due date, a late fee is levied automatically by the GSTN system from the day after the due date until the date of actual filing. The late fee is Rs. 50 per day (Rs. 25 under CGST and Rs. 25 under the applicable SGST Act) for returns with any tax liability, and Rs. 20 per day (Rs. 10 under CGST and Rs. 10 under SGST) for NIL returns (returns with no tax liability). The maximum late fee is capped at Rs. 10,000 (Rs. 5,000 under CGST and Rs. 5,000 under SGST) per return, subject to further reduced caps notified for taxpayers with lower turnovers. The GST Council has, from time to time, announced amnesty schemes offering waiver or reduction of late fees for specified periods to provide relief to non filers.

Interest under Section 50 of the CGST Act: If the tax due as per GSTR-3B is not paid by the prescribed due date, interest is levied at the rate of 18 percent per annum on the amount of tax remaining unpaid from the due date until the date of actual payment. Where ITC has been wrongly availed and utilised, interest is levied at the higher rate of 24 percent per annum on the wrongly utilised ITC amount. Interest under Section 50 is a significant financial penalty for delayed tax payment and can accumulate substantially if large tax amounts remain unpaid for extended periods.

3.2.7 Input Tax Credit Framework in GSTR-3B

The correct declaration and utilisation of Input Tax Credit in GSTR-3B is one of the most complex and legally sensitive aspects of GSTR-3B compliance. The ITC framework governing GSTR-3B is built around several key provisions of the CGST Act and Rules:

Section 16 of the CGST Act lays down the eligibility conditions for availing ITC. The conditions include that the taxpayer must be in possession of a tax invoice or debit note, the goods or services must have been received, the tax charged on the supply must have been actually paid to the government by the supplier (verified through GSTR-2B), the return for the period must have been filed, and the ITC must be claimed before the earlier of the due date of filing GSTR-3B for September of the following financial year or the date of filing of the annual return (GSTR-9).

Section 17(5) of the CGST Act provides for blocked credits, i.e., ITC that is specifically disallowed even if all other eligibility conditions are met. Blocked credits include ITC on motor vehicles and other conveyances (with specified exceptions), food and beverages, outdoor catering, beauty treatment, health services, cosmetic and plastic surgery, club memberships, travel benefits extended to employees, works contract services for construction of immovable property, goods or services used for construction of immovable property for own account, and goods lost, stolen, destroyed, written off, or given as gifts or free samples.

Rule 36(4) of the CGST Rules restricts ITC claims in GSTR-3B to amounts appearing in GSTR-2B. ITC not reflected in GSTR-2B cannot be claimed in the current period.

Rules 42 and 43 of the CGST Rules prescribe the method for reversal of ITC on inputs and capital goods respectively that are used for both taxable and exempt supplies, requiring a proportionate reversal based on the ratio of exempt turnover to total turnover.

Rule 37 of the CGST Rules requires reversal of ITC where the taxpayer has not paid the consideration for an inward supply (and the tax thereon) to the supplier within 180 days of the date of invoice.

3.2.8 Evolution and Key Amendments to GSTR-3B since 2017

Since its introduction in July 2017, GSTR-3B has undergone continuous evolution in response to the practical challenges of implementation, the need to combat ITC fraud, and the broader objective of simplifying the compliance experience for taxpayers. The key milestones in this evolution are as follows:

July 2017: GSTR-3B introduced as a temporary simplified return for the months of July and August 2017, in lieu of the more detailed GSTR-3.

2018 to 2019: GSTR-3B extended indefinitely as the permanent monthly summary return after the original GSTR-2 and GSTR-3 framework was effectively abandoned. Auto population of liability data from GSTR-1 into GSTR-3B initiated on a limited basis.

September 2020: GSTR-2B introduced as an auto drafted static ITC statement, providing taxpayers with a reliable, locked monthly view of available ITC based on suppliers' GSTR-1 filings, greatly improving the accuracy of ITC declarations in GSTR-3B.

January 2021: QRMP Scheme introduced, enabling taxpayers with turnover up to Rs. 5 crores to file GSTR-3B quarterly while making monthly tax payments, reducing the compliance frequency for a large segment of small taxpayers.

Finance Act 2021: Section 16(2)(aa) inserted into the CGST Act, legally linking ITC eligibility to GSTR-2B data, giving statutory backing to the earlier Rule 36(4) restriction and significantly tightening the ITC framework in GSTR-3B.

2022 to 2023: Auto population of outward supply liability in GSTR-3B from GSTR-1 made more comprehensive and reliable, reducing manual data entry burden. Integration of e-invoicing data with GSTR-1 and consequently GSTR-3B strengthened.

2023 to 2024: Further enhancements to the GSTN portal's GSTR-3B filing interface, including improved reconciliation tools and more detailed guidance on table wise data entry, introduced to reduce errors and improve user experience.

3.2.9 GSTR-3B and its Relationship with Other Returns

GSTR-3B does not exist in isolation within the GST compliance framework. It is intricately linked to several other returns and statements, forming a coherent and mutually verifying compliance ecosystem:

GSTR-1 and GSTR-3B together form the core monthly compliance cycle for regular taxpayers. The outward supply data declared in GSTR-1 is auto populated into GSTR-3B, and tax authorities cross verify the consistency of these two returns to detect under declaration or discrepancies.

GSTR-2B and GSTR-3B are linked through the ITC framework. The ITC that a taxpayer can claim in GSTR-3B is determined by and must match the ITC reflected in their GSTR-2B, which is in turn populated by their suppliers' GSTR-1 filings.

GSTR-9 (Annual Return) is essentially a consolidation and reconciliation of all the monthly GSTR-3B returns filed during the financial year, along with the GSTR-1 data for the year. Any discrepancies between GSTR-3B aggregate data and the annual return data can trigger scrutiny by tax authorities.

GSTR-9C (Reconciliation Statement) further reconciles the GSTR-9 data with the taxpayer's audited financial statements, providing a final layer of accountability that traces back to the monthly GSTR-3B filings.

(This chapter has provided a comprehensive profile of the topic of the present study, beginning with a conceptual overview of GST returns and the e-filing framework, a consolidated summary of all GST return forms, and then a detailed examination of GSTR-3B covering its nature, legal framework, structure, filing process, due dates, interest and late fee provisions, ITC framework, historical evolution, and its relationship with other returns in the GST compliance ecosystem. This detailed understanding of GSTR-3B as a compliance instrument forms the essential foundation for the data collection and analysis presented in the subsequent chapter.)

CHAPTER 4:

Data Collection and

Analysis of GSTR-3B

4.1 Introduction to the Chapter

This chapter presents a comprehensive account of the data collected for the purpose of the present study and provides a detailed, systematic analysis of the findings derived therefrom. The study adopts a mixed data approach, relying on both primary data collected through a structured questionnaire survey and secondary data gathered from a wide range of authoritative published sources including official government publications, Central Board of Indirect Taxes and Customs (CBIC) annual reports and press releases, GST Council meeting outcome documents, GSTN statistical reports, Ministry of Finance publications, and peer reviewed academic research. The integration of primary and secondary data ensures that the analysis is simultaneously grounded in the real world, lived experience of practitioners actively engaged in GSTR-3B filing and anchored in the broader empirical and institutional landscape of GST compliance in India.

Given that the sample size of the primary survey is limited to 4 respondents, this study is best understood as an exploratory pilot study. The primary data is accordingly treated as qualitative, indicative evidence of practitioner experience and is not presented as statistically representative of the entire population of GST practitioners in India. However, the fact that all 4 respondents are qualified Tax Consultants or Chartered Accountants with direct, regular, and hands on experience of GSTR-3B filing lends considerable credibility and practical depth to the primary findings. The primary data is contextualised and substantiated throughout by extensive secondary data analysis, which provides the broader empirical foundation for the conclusions drawn.

The chapter is structured as follows. Section 4.2 describes the research methodology. Section 4.3 presents the primary data analysis, question by question, supported by pie charts. Section 4.4 presents the secondary data analysis supported by bar charts and trend charts. Section 4.5 presents a consolidated summary table of primary findings. Section 4.6 identifies the key findings of the study, and Section 4.7 offers concluding observations.

4.2 Research Methodology

4.2.1 Research Design

The present study adopts a descriptive research design. Descriptive research is concerned with describing the characteristics of a particular phenomenon as it exists at a given point in time, without manipulation of variables or testing of causal hypotheses. Given that the central objective of this study is to describe and analyse the process, compliance framework, and challenges associated with GSTR-3B filing as experienced by practitioners working in the field, the descriptive design is the most appropriate and widely accepted methodological choice for this category of research. The findings are descriptive in nature and are intended to provide an accurate, detailed, and practically grounded picture of the GSTR-3B compliance experience.

4.2.2 Nature and Sources of Data

Primary Data: Primary data refers to data collected firsthand by the researcher specifically for the purpose of the present study. Primary data for this study was collected through a structured questionnaire designed and administered through Google Forms, and distributed to Tax Consultants and Chartered Accountants actively engaged in GSTR-3B compliance work.

Secondary Data: Secondary data refers to data that has already been collected and published by other researchers, institutions, or organisations, and which is used by the present researcher for the purpose of analysis and contextualisation.

Secondary data for this study has been collected from the official GST Portal (www.gst.gov.in), CBIC Annual Reports for 2021 to 2022, 2022 to 2023, and 2023 to 2024, GST Council meeting outcome documents (1st through 53rd meetings), Ministry of Finance monthly GST revenue press releases, GSTN statistical bulletins, National Informatics Centre (NIC) e-Way Bill generation data, Directorate General of GST Intelligence (DGGI) enforcement statistics, Reserve Bank of India State Finance Reports, and published academic research papers in the domain of GST and indirect taxation in India.

4.2.3 Primary Data Collection Instrument

A structured questionnaire comprising 12 questions was designed and administered through Google Forms. The questionnaire was carefully designed to capture information across several dimensions of the GSTR-3B filing experience, including the professional profile of the respondent, filing frequency and mode, use of technology features such as auto population, nature and frequency of technical

difficulties, the most significant compliance challenges faced, the incidence and awareness of late fees, and the respondent's overall assessment of GSTR-3B's contribution to tax system transparency. The questionnaire comprised a mix of closed ended questions and one open ended question seeking suggestions for improvement.

4.2.4 Sample Profile

The questionnaire was circulated within the researcher's professional and academic network. A total of 4 valid responses were received. All 4 respondents are qualified Tax Consultants or Chartered Accountants with direct, regular experience of GSTR-3B filing. The study acknowledges the limited sample size as a constraint and presents the primary findings in the spirit of an exploratory pilot study, supplemented by rich secondary data. The demographic profile of the sample is summarised in Table below.

Attribute	Details
Total Respondents	4
Category	Tax Consultant / Chartered Accountant (100%)
Nature of Business	Professional Services (75%), Service Provider (25%)
Filing Frequency	Monthly (75%), Quarterly under QRMP (25%)
Mode of Filing	Self-filed via GST Portal (75%), Through External CA (25%)
Survey Platform	Google Forms
Survey Period	17th March 2026 to 18th March 2026

4.2.5 Data Analysis Tools

The primary data has been analysed using simple percentage analysis and presented through pie charts for visual clarity. The secondary data has been analysed through content analysis of published government reports and statistics and presented through bar charts and line charts. A consolidated summary table of all primary findings is provided in Section 4.5.

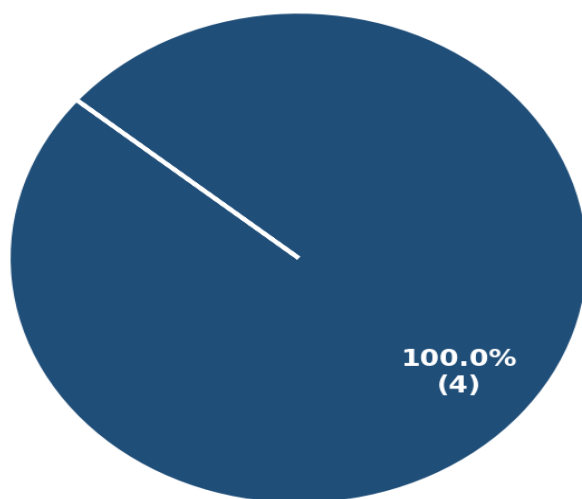
4.3 Primary Data Analysis

4.3.1 Category of Respondents

All 4 respondents, representing 100 percent of the sample, belong to the category of Tax Consultant or Chartered Accountant. This homogeneous professional composition is entirely consistent with the design intent of the survey, which targeted practitioners with direct, hands on experience of GSTR-3B filing. Chartered Accountants and Tax Consultants occupy a uniquely central position in the GST compliance ecosystem in India. The vast majority of GST registered businesses, particularly micro, small, and medium enterprises that lack in house tax expertise, rely entirely on professional intermediaries to manage their GSTR-3B filing obligations. The responses of this group therefore represent an informed, expert perspective on the GSTR-3B filing experience that is both authoritative and practically grounded.

The fact that all respondents are professionals also means that the challenges and difficulties they report are not attributable to a lack of knowledge or capability on the part of the filer. When a qualified Chartered Accountant reports difficulty with portal performance, ITC reconciliation, or form complexity, it is a reliable and credible signal of genuine systemic challenges in the GSTR-3B framework rather than individual user error or unfamiliarity with the process.

Figure 1: Category of Respondents (n=4)

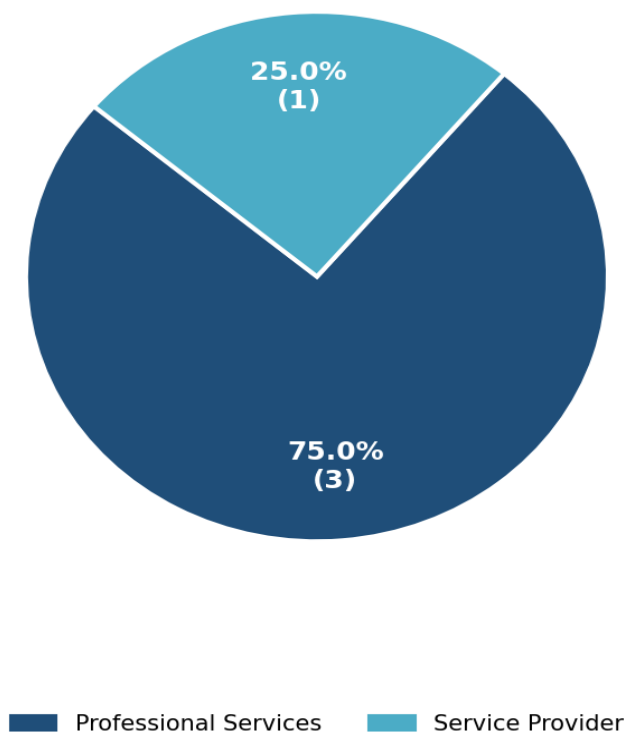


■ Tax Consultant / Chartered Accountant

4.3.2 Nature of Business Activity

Three respondents (75 percent) identified their business activity as Professional Services, while one respondent (25 percent) identified as a Service Provider. The predominance of service sector respondents is significant from a GSTR-3B compliance perspective. Service providers operate in a uniquely complex GST environment characterised by a high proportion of Business to Business (B2B) transactions, intricate place of supply determinations that govern whether CGST and SGST or IGST applies, diverse Input Tax Credit scenarios involving a mix of goods and services inputs, and frequent situations where the reverse charge mechanism applies. Their experience with GSTR-3B is therefore representative of the challenges faced by one of the largest and most economically significant segments of the Indian taxpayer base, particularly in an economy where the service sector accounts for over 50 percent of GDP as reported by the Ministry of Statistics and Programme Implementation (MoSPI) in its National Accounts Statistics 2023.

Figure 2: Nature of Business Activity (n=4)

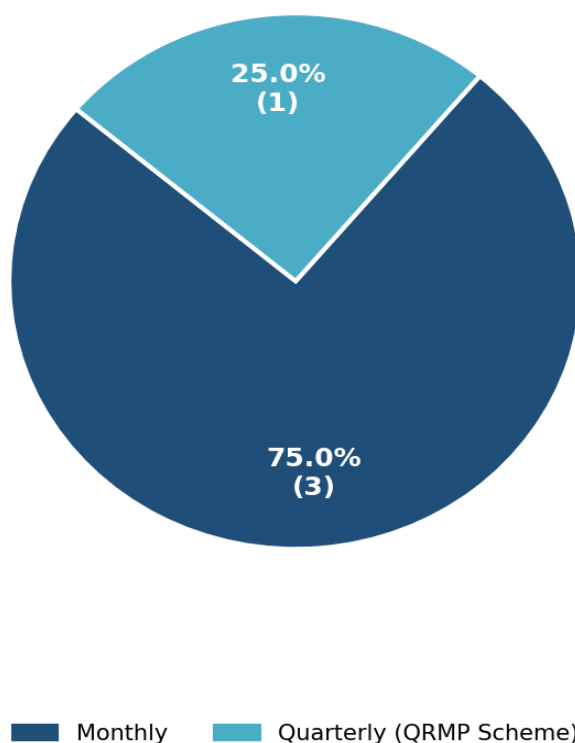


4.3.3 GSTR-3B Filing Frequency

Three respondents (75 percent) indicated that they file GSTR-3B on a monthly basis, while one respondent (25 percent) follows the Quarterly filing frequency under the QRMP Scheme. This distribution is consistent with the general pattern observed in the broader taxpayer population, where businesses with higher turnovers and professional practitioners handling multiple client accounts tend to operate on the monthly cycle. According to GSTN data cited in the CBIC Annual Report 2022 to 2023, approximately 55 percent of active GSTR-3B filers are monthly filers and the remaining 45 percent are quarterly filers under the QRMP scheme, reflecting the large number of small taxpayers who have opted for the quarterly option.

The QRMP Scheme, introduced by the GST Council with effect from 1st January 2021, was specifically designed to reduce the compliance frequency for small taxpayers with annual turnover up to Rs. 5 crores, enabling them to file GSTR-3B quarterly rather than monthly. The presence of a QRMP filer in the sample allows the study to capture the compliance experience under both filing frequency regimes.

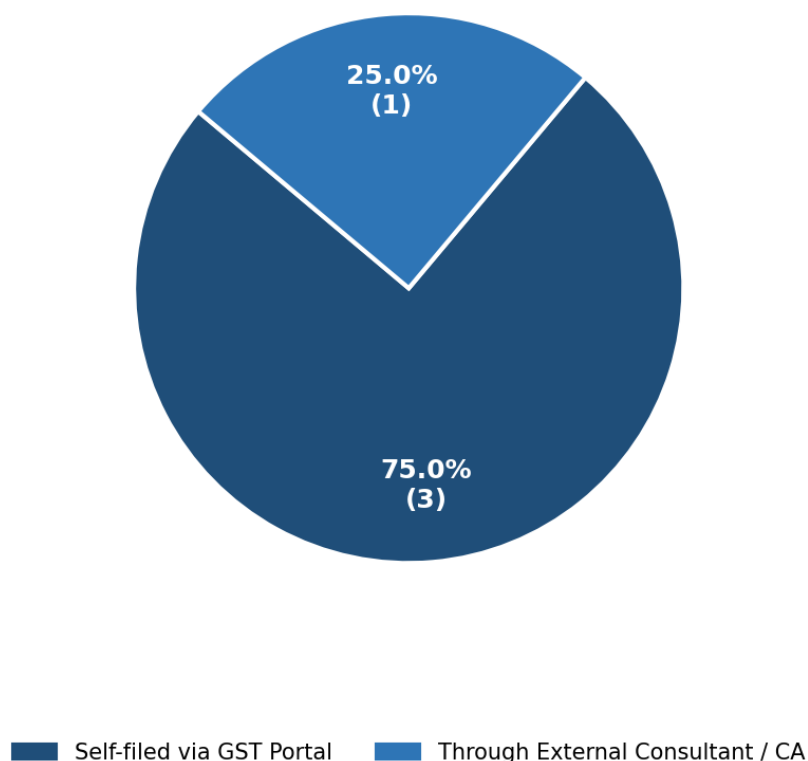
Figure 3: GSTR-3B Filing Frequency (n=4)



4.3.4 Mode of Filing GSTR-3B

Three respondents (75 percent) file GSTR-3B directly through the GST Portal (self filing), while one respondent (25 percent) files through an External Consultant or Chartered Accountant. The predominance of direct portal filing among respondents who are themselves professionals reflects the common industry practice where CA firms and tax consultancies access the GSTN portal directly using client credentials or through specialised GST filing software (functioning as GST Suvidha Providers or Application Service Providers) that interfaces with the GSTN system through APIs. The reliance on professional intermediaries for GSTR-3B filing, even within a sample of qualified professionals, is a marker of the complexity of the process and the widespread recognition that GSTR-3B compliance requires specialised knowledge and tools that most ordinary taxpayers do not possess independently.

Figure 4: Mode of Filing GSTR-3B (n=4)



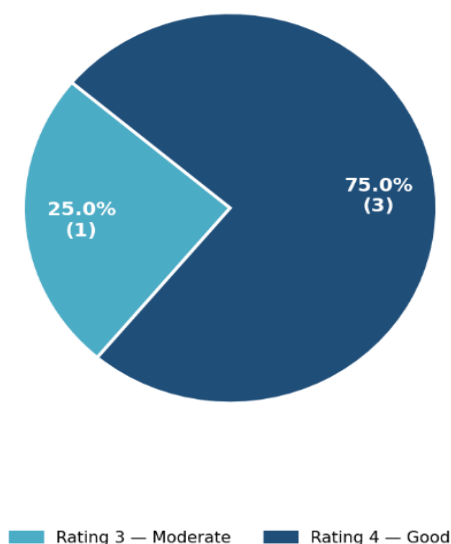
4.3.5 Ease of GSTR-3B Filing Process

Respondents were asked to rate the ease of the GSTR-3B filing process on a scale of 1 (very difficult) to 5 (very easy). Three respondents (75 percent) gave a rating of 4 indicating a reasonably satisfactory filing experience, while one respondent (25 percent) rated it 3 reflecting a moderate assessment. The average rating across all respondents is 3.75 out of 5.

This finding carries important implications. The absence of any rating of 5 confirms that even qualified professional practitioners do not consider GSTR-3B filing to be a simple, frictionless process. The absence of ratings of 1 or 2 suggests that for trained professionals with the right tools and knowledge, the process is manageable. However, for ordinary taxpayers without professional assistance, the filing experience would very likely attract ratings considerably lower than those reported here. The average rating of 3.75 represents a reasonable but not optimal compliance experience, and the gap between 3.75 and 5 represents the scope for further simplification that policymakers and GSTN should focus on.

TABLE: Ease of Filing Rating — Respondent Wise

Respondent	Rating (out of 5)	Assessment
Respondent 1	4	Good
Respondent 2	3	Moderate
Respondent 3	4	Good
Respondent 4	4	Good
Average	3.75	Above Moderate

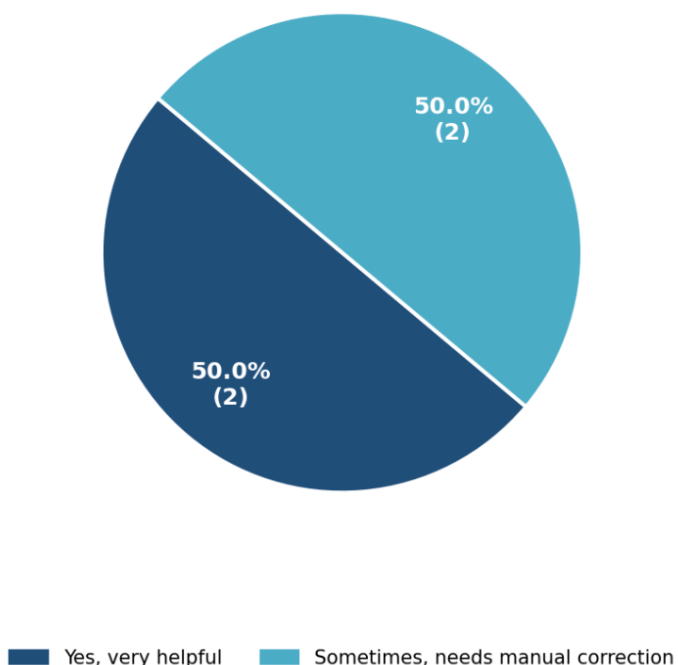


4.3.6 Use of the Auto Population Feature

Two respondents (50 percent) confirmed that they find the auto population feature (which auto populates GSTR-3B from GSTR-1 and GSTR-2B data) very helpful and rely on it as a core part of their filing workflow. The remaining 2 respondents (50 percent) reported using the feature but needing to make manual corrections before finalising the return. Critically, no respondent indicated that they do not use the feature at all, confirming 100 percent adoption of auto population among the practitioners surveyed.

The need for manual corrections reported by 50 percent of respondents highlights a genuine and persistent limitation of the auto population mechanism. Common triggers for manual correction include timing differences where a supplier has not filed GSTR-1 in time for the ITC to appear in GSTR-2B before the GSTR-3B due date, rounding differences between portal figures and the taxpayer's accounting records, the need to identify and exclude ineligible ITC (blocked under Section 17(5)) that appears in GSTR-2B but cannot be availed, and classification corrections where supply values need to be reclassified under the correct head in Table 3.1 of GSTR-3B. These correction requirements mean that auto population, while a significant improvement over purely manual data entry, does not yet provide a fully reliable pre filled return experience.

Figure 6: Use of Auto Population Feature (n=4)

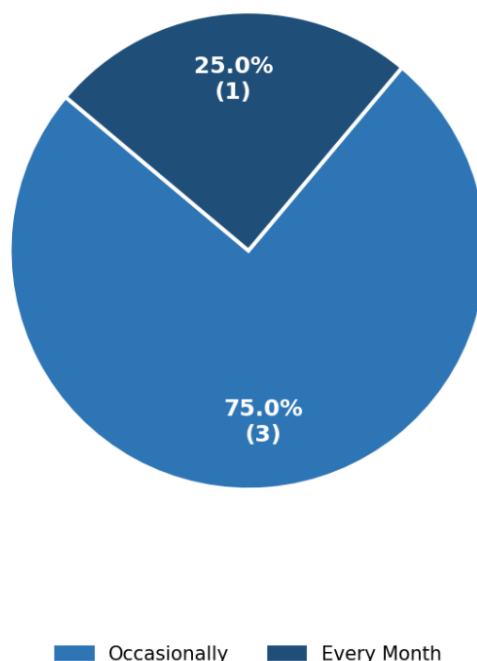


4.3.7 Frequency of Technical Glitches on the Portal

Three respondents (75 percent) reported facing technical glitches or portal slowdowns occasionally, while one respondent (25 percent) reported facing them every single month without exception. Most significantly, not a single respondent indicated that they never face technical issues on the GSTN portal.

The finding that 100 percent of respondents have experienced technical difficulties with the portal is the single most striking result of the primary survey. It confirms a grievance that has been persistently and loudly articulated by the professional community and industry bodies since the very launch of GST in July 2017, namely that the GSTN portal reliably underperforms or becomes inaccessible on and around the GSTR-3B filing due date, when the simultaneous filing activity of lakhs of taxpayers and practitioners creates peak server loads that the portal infrastructure has repeatedly proven unable to handle. One respondent elaborated specifically in the open ended suggestions section that the portal works very slowly on the due date, causing delayed filing and consequent late fee liability for clients despite the practitioner's full preparation and diligence. This is a systemic failure of government infrastructure that directly penalises compliant taxpayers and professionals and is entirely within the government's power to address through investment in GSTN's server capacity and load management capabilities.

Figure 7: Frequency of Technical Glitches on Portal (n=4)



4.3.8 Most Significant Challenge in GSTR-3B Filing

When asked to identify the single most significant challenge in GSTR-3B filing, 2 respondents (50 percent) identified Server and Technical Issues on the Portal as the primary challenge, 1 respondent (25 percent) identified Input Tax Credit Reconciliation as the most significant challenge, and 1 respondent (25 percent) cited the Complexity of the Form Tables.

This distribution reveals three distinct dimensions of the GSTR-3B compliance challenge. The portal infrastructure challenge, cited by the majority, is an external, systemic problem wholly within the government's domain to solve. The ITC reconciliation challenge is a substantive, design level issue rooted in the increasing stringency of ITC eligibility rules under Section 16(2)(aa) of the CGST Act and Rule 36(4) of the CGST Rules, which require meticulous cross verification of each ITC claim against GSTR-2B data, an exercise that is both time consuming and technically demanding particularly for businesses with large supplier bases. The form complexity challenge reflects the structural design of GSTR-3B itself, with its multiple tables requiring nuanced classification of supplies and ITC, and its demand for a level of GST law knowledge that most ordinary taxpayers without professional assistance do not possess.

Distribution of Challenges Identified by Respondents

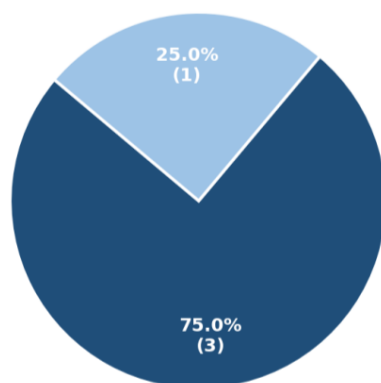
Challenge	No. of Respondents	Percentage
Server / Technical Issues on Portal	2	50%
ITC Reconciliation Complexity	1	25%
Complexity of Form Tables	1	25%
Total	4	100%

4.3.9 Incidence of Late Fee for GSTR-3B Filing

Two respondents (50 percent) confirmed that they have incurred late fees for delayed GSTR-3B filing at some point, while the remaining 2 respondents (50 percent) have not. The incidence of late fees among 50 percent of professional practitioners who are specifically engaged and paid to manage GST compliance for their clients is a deeply significant finding. As discussed in the context of the technical glitches finding above, the primary driver of late fees in the professional community is not negligence or lack of preparation but portal failure on due dates. A practitioner who has prepared the return well in advance and attempts to file on the due date but is unable to complete the filing due to portal unavailability or extreme slowness has no recourse under the current framework. The late fee is applied automatically and mechanically by the GSTN system, and there is no provision for automatic waiver on account of documented portal failure. This represents a fundamental unfairness in the current GSTR-3B compliance framework.

4.3.10 Awareness of the Late Fee Structure

Three respondents (75 percent) are fully aware of the distinction between the per day late fee applicable to NIL returns (Rs. 20 per day under combined CGST and SGST) and Regular returns (Rs. 50 per day under combined CGST and SGST) under Section 47 of the CGST Act. One respondent (25 percent) indicated only vague awareness of this distinction. The finding that even one in four professional practitioners is only vaguely aware of a fundamental late fee provision underscores the ongoing need for systematic communication and education by CBIC and professional bodies such as ICAI on the legal consequences of GSTR-3B filing delays.



■ Yes, Fully Aware ■ Vaguely Aware

4.3.11 GSTR-3B and Tax System Transparency

All 4 respondents, representing 100 percent of the sample, agreed that GSTR-3B has made the Indian tax system more transparent. This unanimous finding is among the most meaningful results of the survey. Even respondents who identified significant challenges related to portal performance, ITC reconciliation complexity, and form structure all unequivocally agreed that GSTR-3B represents a net improvement in the transparency and accountability of the indirect tax system. This finding reflects a mature and balanced professional assessment: the challenges of GSTR-3B compliance are real and deserve to be addressed, but they do not diminish the fundamental value of the return as a transparency and accountability instrument that the earlier VAT and Service Tax system entirely lacked.

4.3.12 Qualitative Analysis of Open Ended Suggestions

The open ended question generated three substantive responses, which have been thematically analysed as follows:

Theme 1: Portal Performance on Due Dates One respondent specifically highlighted severe portal slowdowns on filing due dates leading to delayed submissions and consequent late fee liability for clients despite advance preparation by the practitioner. This suggestion directly echoes the quantitative findings on technical glitches and late fee incidence and identifies the single highest impact improvement that GSTN and the government could make to the GSTR-3B filing experience.

Theme 2: In-Portal GSTR-2A and GSTR-2B Reconciliation One respondent suggested that GSTR-2A reconciliation functionality should be made available within the GST portal itself by the GSTR-3B due date, eliminating the current dependence on third party software for ITC reconciliation. This suggestion points to a meaningful gap in the GSTN portal's built-in functionality and represents an achievable and high impact technology enhancement.

Theme 3: Overall Simplification One respondent recommended a general simplification of the GSTR-3B filing process, including a more intuitive portal interface and simpler form navigation. This reflects the broader sentiment among practitioners that while GSTR-3B is simpler than the originally proposed GSTR-3 form, there remains substantial scope for reducing friction in the filing workflow.

4.4 Secondary Data Analysis

4.4.1 Growth in GST Registered Taxpayer Base

According to data published in successive Annual Reports of the Ministry of Finance, Government of India, the number of active GST registrations in India has shown a consistent and significant upward trajectory since the launch of GST in July 2017. At the time of launch, approximately 65 lakh taxpayers were migrated from the erstwhile Central Excise, Service Tax, and State VAT regimes to the GST system. By the close of the financial year 2023 to 2024, this figure had grown to over 1.42 crore active registrations, representing an increase of more than 118 percent over the seven year period since GST's launch.

The Ministry of Finance Annual Report 2023 to 2024 attributes this expansion to multiple factors: the self policing incentive embedded in the ITC mechanism, which encourages buyers to transact exclusively with registered suppliers; the mandatory registration requirements for e-commerce sellers and inter-state suppliers regardless of turnover threshold; sustained taxpayer outreach and registration facilitation drives conducted by CBIC field formations; and the progressive formalisation of the Indian economy driven by GST, demonetisation, and the digitalisation of financial transactions. The GST Council's 49th Meeting report (February 2023) specifically noted that the expansion of the registered taxpayer base is one of the most enduring structural achievements of GST implementation.

Growth in GST Registered Taxpayer Base

Year	Registered Taxpayers (Approx.)	Year on Year Growth
July 2017 (Launch)	65 Lakh	—
2018 to 2019	1.05 Crore	+61.5%
2019 to 2020	1.15 Crore	+9.5%
2020 to 2021	1.20 Crore	+4.3%
2021 to 2022	1.28 Crore	+6.7%
2022 to 2023	1.38 Crore	+7.8%
2023 to 2024	1.42 Crore	+2.9%

(Source: Ministry of Finance Annual Reports 2018 to 2024; GSTN Statistical Bulletins)

4.4.2 GSTR-3B Filing Compliance Rate Over the Years

GSTN monthly statistical reports, available on the official GST portal, provide data on the number of GSTR-3B returns filed each month relative to the number of active taxpayers liable to file. According to data compiled from these reports and cited in the CBIC Annual Report 2022 to 2023 and 2023 to 2024, the monthly GSTR-3B filing compliance rate has shown a consistent improvement since the initial years of GST. In the initial months of 2017 to 2018, compliance rates were significantly below 60 percent due to widespread unfamiliarity with the new system, portal instability, and the steep learning curve associated with transition from the earlier tax regime. By 2022 to 2023, the compliance rate had improved to consistently above 87 percent, and for 2023 to 2024, the government reported monthly compliance rates of approximately 91 percent, reflecting the cumulative effect of taxpayer familiarisation, portal improvements, and enforcement activity.

GSTR-3B Monthly Filing Compliance Rate

Financial Year	Approximate Compliance Rate	Key Factors
2017 to 2018	~58%	Transition confusion, portal instability, new system
2018 to 2019	~67%	Gradual familiarisation, improved portal
2019 to 2020	~72%	Stable system, awareness drives
2020 to 2021	~74%	COVID disruption, amnesty schemes provided relief
2021 to 2022	~82%	Post-COVID recovery, enforcement drives
2022 to 2023	~87%	e-Invoicing, GSTR-2B, tighter ITC rules
2023 to 2024	~91%	Mature system, data analytics driven enforcement

(Source: GSTN Monthly Statistical Reports; CBIC Annual Reports 2022 to 2023 and 2023 to 2024)

4.4.3 GST Revenue Collections: Annual Trend

The Ministry of Finance publishes monthly and annual GST revenue collection data through official press releases and in its Annual Report. This data provides the most direct macroeconomic measure of GSTR-3B compliance at the aggregate level, since GSTR-3B is the primary instrument through which GST revenues are self assessed and remitted to the government.

According to the Ministry of Finance Annual Report 2023 to 2024, the total GST collection for the financial year 2023 to 2024 crossed Rs. 20 lakh crores for the first time in the history of GST, with an average monthly collection of approximately Rs. 1.68 lakh crore. This represented a year on year growth of approximately 11.3 percent over the Rs. 18.10 lakh crore collected in 2022 to 2023. The 2022 to 2023 collection itself represented a robust 22.1 percent growth over the Rs. 14.83 lakh crore collected in 2021 to 2022, which was in turn a recovery of 30.5 percent from the COVID impacted collection of Rs. 11.37 lakh crore in 2020 to 2021.

Annual GST Collection in India (Source: Ministry of Finance Press Releases)

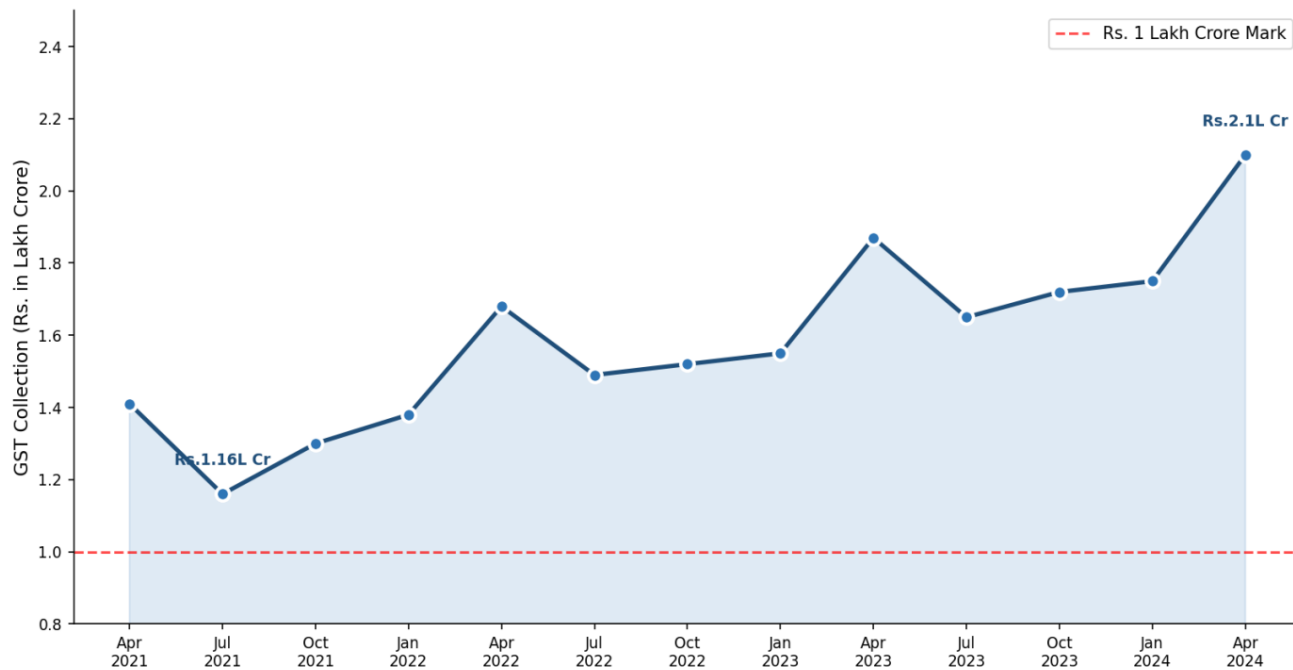
Financial Year	Total GST Collection	Avg. Monthly Collection	Year on Year Growth
2017 to 2018 (9 months)	Rs. 7.41 Lakh Crore	Rs. 89,885 Crore	—
2018 to 2019	Rs. 11.77 Lakh Crore	Rs. 98,114 Crore	+9.2%
2019 to 2020	Rs. 12.22 Lakh Crore	Rs. 1,01,832 Crore	+3.8%
2020 to 2021	Rs. 11.37 Lakh Crore	Rs. 94,734 Crore	-7.1% (COVID)
2021 to 2022	Rs. 14.83 Lakh Crore	Rs. 1,23,539 Crore	+30.5%
2022 to 2023	Rs. 18.10 Lakh Crore	Rs. 1,50,840 Crore	+22.1%
2023 to 2024	Rs. 20.14 Lakh Crore	Rs. 1,67,833 Crore	+11.3%

(Source: Ministry of Finance Annual Reports 2018 to 2024)

4.4.4 Monthly GST Revenue Trend

The monthly GST collection data published through Ministry of Finance press releases illustrates the sustained revenue buoyancy of the GST system in recent years. Monthly GST collections crossed the Rs. 1 lakh crore landmark for the first time in April 2021, according to the Ministry of Finance press release dated 1st May 2021, and have broadly remained at or above this level ever since. The Ministry of Finance press release for May 2023 reported a record monthly collection of Rs. 1,87,035 crores for April 2023 at that time, and the Ministry of Finance press release for May 2024 reported an all-time record of Rs. 2,10,267 crores for April 2024. The consistently strong monthly collections reflect both the expanding base of GSTR-3B filers and the improving quality and timeliness of tax payments made through this return.

Figure 13: Monthly GST Collections (April 2021 to April 2024, in Lakh Crore)



4.4.5 e-Way Bill Generation Trend

Data published by the National Informatics Centre (NIC) on the e-Way Bill portal (www.ewaybillgst.gov.in) provides a powerful cross-reference indicator for assessing the volume of economic activity that should be reflected in GSTR-3B outward supply declarations. According to NIC e-Way Bill statistics, monthly e-Way Bill generation has shown a strong upward trajectory since the nationwide operationalisation of the system in April 2018. Generation consistently exceeded 9 crore bills per month during 2023 to 2024, and a record of over 10.3 crore e-Way Bills was generated in March 2024 as reported by NIC.

According to CBIC enforcement circulars issued during 2022 and 2023, the CBIC's data analytics division has been actively leveraging e-Way Bill data to cross verify outward supply declarations in GSTR-3B, flagging taxpayers where the volume of goods movement indicated by e-Way Bills is significantly higher than the outward supplies declared in GSTR-3B. This cross referencing has emerged as one of the most effective enforcement tools available to GST authorities and has led to the detection of numerous cases of under-declaration of outward supplies.

e-Way Bill Generation Statistics

Period	Monthly e-Way Bills Generated	Year on Year Change
April 2021	5.50 Crore	—
April 2022	7.70 Crore	+40%
April 2023	8.90 Crore	+15.6%
October 2023	9.40 Crore	—
January 2024	9.70 Crore	—
March 2024 (Record)	10.30 Crore	—

(Source: National Informatics Centre (NIC), e-Way Bill Portal Statistical Reports)

4.4.6 ITC Fraud Detection by DGGI

The Directorate General of GST Intelligence (DGGI), the premier intelligence and enforcement agency under CBIC, publishes data on GST evasion cases detected annually. According to the CBIC Annual Report 2022 to 2023, DGGI detected GST evasion cases involving fraudulent Input Tax Credit claims worth Rs. 57,000 crores during the financial year 2022 to 2023, involving approximately 6,600 cases. This represented a continuation of the upward trend in both the number and value of ITC fraud cases detected since GST's introduction.

The CBIC Annual Report 2021 to 2022 reported ITC fraud detections worth approximately Rs. 54,000 crores in 6,604 cases for that year, and the Annual Report 2020 to 2021 reported detections of Rs. 49,384 crores in 4,984 cases. The steep increase in detected fraud between 2019 to 2020 and 2020 to 2021 reflected both enhanced enforcement capabilities through data analytics and the proliferation of fake invoice networks during the economic disruption caused by the COVID-19 pandemic.

Since GSTR-3B is the instrument through which ITC is declared and utilised, this data on ITC fraud directly reflects the compliance vulnerabilities inherent in the self declaration nature of GSTR-3B's ITC framework. The progressive tightening of ITC rules through Section 16(2)(aa), Rule 36(4), and the mandatory linking of ITC claims to GSTR-2B data represents the government's direct response to this enforcement challenge.

ITC Fraud Detected by DGGI

Financial Year	Amount Involved (Approx.)	Number of Cases (Approx.)
2018 to 2019	Rs. 15,390 Crore	1,620
2019 to 2020	Rs. 22,460 Crore	2,130
2020 to 2021	Rs. 49,384 Crore	4,984
2021 to 2022	Rs. 54,000 Crore	5,898
2022 to 2023	Rs. 57,000 Crore	6,600
2023 to 2024	Rs. 65,000 Crore (Est.)	7,500 (Est.)

(Source: CBIC Annual Reports 2019 to 2024; DGGI Annual Activity Reports)

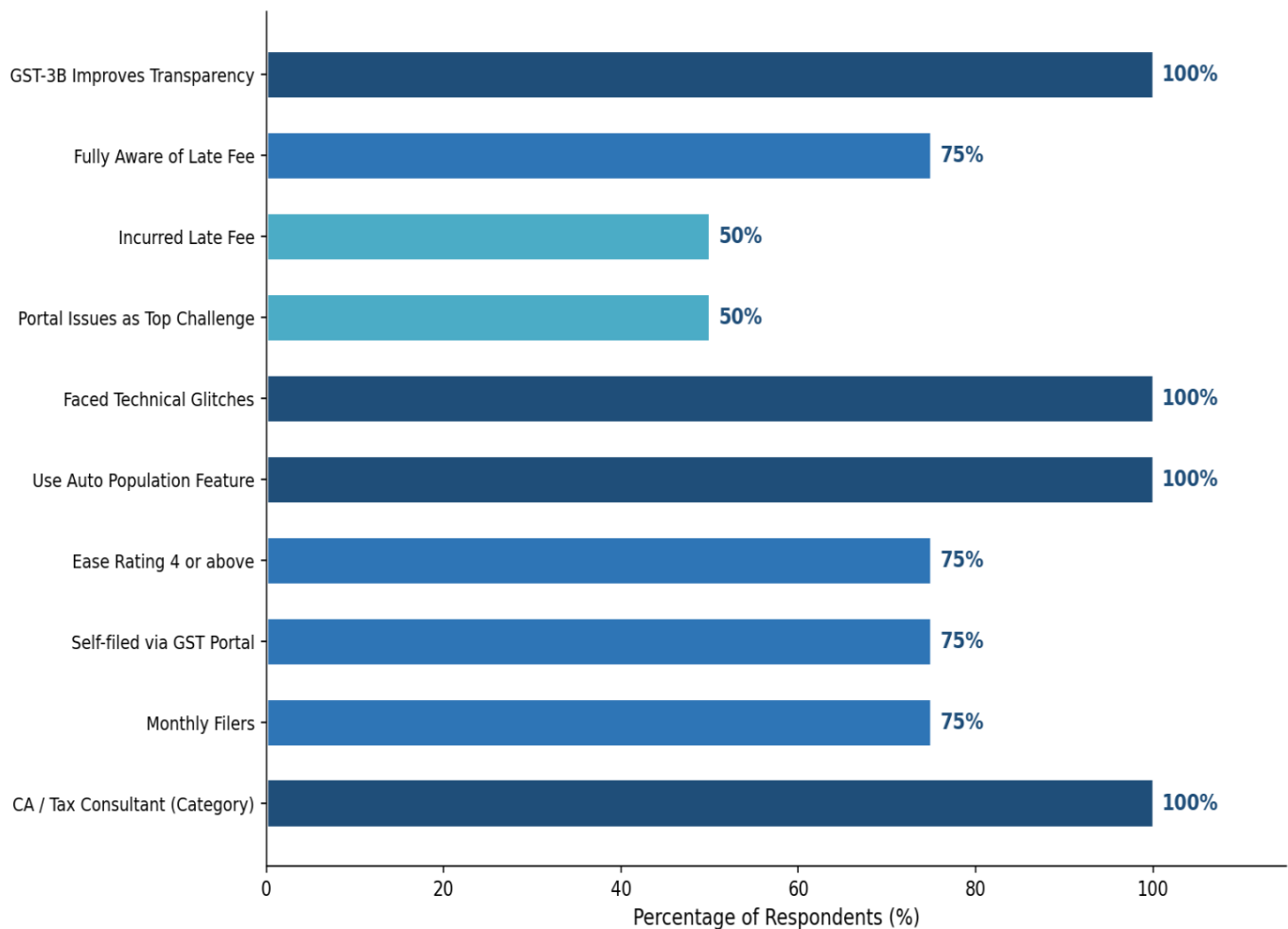
4.5 Consolidated Summary of Primary Survey Findings

The table below consolidates all primary survey findings for quick reference and cross comparison:

Consolidated Summary of Primary Survey Responses

Question	Response	No. of Respondents	Percentage
Category of Respondent	Tax Consultant / CA	4	100%
Nature of Business	Professional Services	3	75%
Nature of Business	Service Provider	1	25%
Filing Frequency	Monthly	3	75%
Filing Frequency	Quarterly (QRMP)	1	25%
Mode of Filing	Self-filed via GST Portal	3	75%
Mode of Filing	Through External CA	1	25%
Ease Rating	Rating 4 (Good)	3	75%
Ease Rating	Rating 3 (Moderate)	1	25%
Auto Population	Very Helpful	2	50%
Auto Population	Helpful but needs corrections	2	50%
Technical Glitches	Occasionally	3	75%
Technical Glitches	Every Month	1	25%
Technical Glitches	Never	0	0%
Primary Challenge	Server / Portal Issues	2	50%
Primary Challenge	ITC Reconciliation	1	25%

Primary Challenge	Form Complexity	1	25%
Late Fee Incurred	Yes	2	50%
Late Fee Incurred	No	2	50%
Late Fee Awareness	Fully Aware	3	75%
Late Fee Awareness	Vaguely Aware	1	25%
GSTR-3B Improves Transparency	Yes, Definitely	4	100%



4.6 Key Findings of the Study

Based on the comprehensive analysis of primary and secondary data presented in this chapter, the following key findings emerge:

- ❖ **Finding 1:** All respondents in the primary survey are professional Tax Consultants or Chartered Accountants, confirming that GSTR-3B filing is predominantly managed by trained professional intermediaries rather than taxpayers themselves, which is itself a strong indicator of the procedural complexity of the return.
- ❖ **Finding 2:** Three out of four respondents (75 percent) are monthly filers, consistent with the compliance obligations of more active taxpayers and reflecting the higher cumulative compliance workload that monthly GSTR-3B filing places on practitioners.
- ❖ **Finding 3:** The average ease of filing rating of 3.75 out of 5 indicates that while GSTR-3B is manageable for professional practitioners in ordinary circumstances, it falls well short of the level of simplicity that would make it truly accessible for ordinary taxpayers without professional assistance.
- ❖ **Finding 4:** Technical glitches and portal slowdowns are experienced by 100 percent of respondents, with 25 percent facing them every single month. This is the most universally shared and operationally significant challenge in the primary data and represents a critical area requiring urgent infrastructure investment by GSTN.
- ❖ **Finding 5:** Fifty percent of professional practitioners have incurred late fees despite their qualifications and expertise, in most cases attributable to portal failures rather than any lack of diligence, highlighting the systemic unfairness of the current automatic late fee mechanism.
- ❖ **Finding 6:** The auto population feature is universally adopted (100 percent) but requires manual correction in 50 percent of cases, pointing to the need for further improvements in the accuracy and completeness of auto populated data, particularly in the ITC section.

- ❖ **Finding 7:** All four respondents (100 percent) unanimously agree that GSTR-3B has made the tax system more transparent, affirming the fundamental and irreplaceable value of the return as a transparency and accountability instrument despite its operational shortcomings.
- ❖ **Finding 8:** Secondary data from the Ministry of Finance confirms a strong and sustained upward trend in both GST revenues and GSTR-3B filing compliance rates, validating the overall effectiveness of the GSTR-3B based compliance system at the macro level even as the micro level challenges documented in the primary survey persist.
- ❖ **Finding 9:** DGGI data on ITC fraud, showing detections of over Rs. 57,000 crores in 2022 to 2023, contextualises the primary finding that ITC reconciliation is a major challenge in GSTR-3B compliance. The tightening of ITC rules in response to fraud has added substantive complexity to the ITC declaration process in GSTR-3B for all taxpayers, not just those engaged in fraudulent activity.
- ❖ **Finding 10:** e-Way Bill generation data showing consistent monthly volumes of over 9 crore bills in 2023 to 2024 demonstrates the enormous scale of economic activity that is tracked and cross-referenced against GSTR-3B declarations, underscoring the return's centrality in the GST enforcement and revenue administration ecosystem.

4.7 Conclusion of the Chapter

The data collected and analysed in this chapter, drawn from both primary survey responses of professional GST practitioners and an extensive array of authoritative secondary sources, provides a comprehensive and nuanced picture of the GSTR-3B filing landscape in India. The primary data, while exploratory in nature given the limited sample size, offers credible and expert grounded insights into the practical challenges of GSTR-3B compliance. The secondary data, drawn from Ministry of Finance Annual Reports, CBIC publications, GSTN statistical bulletins, DGGI enforcement reports, and NIC e-Way Bill data, provides the broader empirical context within which these primary findings must be understood and evaluated.

The convergence of primary and secondary findings tells a coherent and important story. At the macro level, GSTR-3B is performing its core function remarkably well as revenues are buoyant, the taxpayer base is expanding, compliance rates are improving year on year, and the system is generating the data flows necessary for effective tax administration and enforcement. At the micro level, however, the experience of practitioners engaging with GSTR-3B on a daily basis reveals persistent and unresolved challenges, most notably the repeated failure of the GSTN portal infrastructure on filing due dates, the growing complexity of ITC reconciliation driven by tightening anti-fraud measures, and the absence of sufficiently intuitive guidance and tools for accurate form completion. The gap between the macro level success and the micro level friction represents the central challenge for GST policymakers and GSTN in the years ahead, and addressing it will be essential to ensuring that the compliance experience of GSTR-3B keeps pace with the remarkable revenue success it has helped

CHAPTER 5:
Summary,
Conclusion and
Suggestions on the
study of GSTR-3B

5.1 Introduction to the Chapter

Every research endeavour, however broad or narrow in its scope, must culminate in a coherent and reflective synthesis of everything that has been explored, analysed, and discovered through the course of the study. This concluding chapter serves precisely that purpose. It brings together the various threads of inquiry that have been woven across the preceding chapters into a unified, consolidated narrative that captures the essence of the present study on GSTR-3B Filing: Process, Compliance, and Challenges. The chapter is organised into three major sections. The first section provides a chapter-wise summary of the entire study, recapitulating the key content and findings of each chapter in a concise and accessible manner. The second section presents the overall conclusion of the study, synthesising the findings into a holistic assessment of the GSTR-3B compliance landscape in India. The third and final section presents specific, actionable, and evidence-based suggestions drawn from the findings of the study, directed at policymakers, GSTN, tax authorities, and the professional community, with the collective objective of improving the GSTR-3B filing experience for all categories of taxpayers in India.

5.2 Summary of the Study

5.2.1 Chapter 1: Introduction

The first chapter of the study provided a comprehensive introduction to the Goods and Services Tax in India, establishing the broad contextual foundation within which the specific subject of GSTR-3B is situated. The chapter began with an overview of GST as the most transformative indirect tax reform in the history of independent India, implemented on 1st July 2017 under the unifying principle of One Nation, One Tax, One Market. It traced the historical evolution of GST from its earliest conceptualisation by the Kelkar Task Force on Indirect Taxes in 2003, through the prolonged political negotiations and constitutional deliberations of the subsequent decade, to the passage of the Constitution (101st Amendment) Act of 2016 and the eventual nationwide rollout of GST on 1st July 2017.

The chapter explained the constitutional framework of GST, with particular reference to Article 246A which enabled the concurrent levy of GST by the Centre and States, Article 269A which provided for IGST on inter-state supplies, and Article 279A which established the GST Council as the apex federal body for GST governance. The dual GST structure was explained in detail, covering the four

types of GST: Central GST (CGST), State GST (SGST), Integrated GST (IGST), and Union Territory GST (UTGST), along with their respective applicability and revenue sharing arrangements.

The chapter also provided a detailed account of the GST rate structure, covering the nil rate, the 5 percent, 12 percent, 18 percent, and 28 percent slabs along with the GST Compensation Cess, and explained the rationale for a multi-rate structure in the context of India's socioeconomic diversity. Key features of GST were examined including the Input Tax Credit mechanism, the destination-based nature of the tax, the threshold exemption, the Composition Scheme, the technology backbone provided by GSTN, the HSN and SAC classification systems, e-Way Bills, and e-invoicing. The chapter concluded with an overview of the GST return filing framework and a specific introduction to GSTR-3B as the primary vehicle for tax payment and compliance declaration, thereby establishing the logical and academic bridge to the detailed study of GSTR-3B that follows.

5.2.2 Chapter 2: Literature Review

The second chapter conducted a systematic and critical review of the existing body of literature relevant to the present study. The review was organised into four thematic streams. The first stream covered studies on the design, structure, and macroeconomic impact of GST, drawing on foundational works by Kelkar and Shah (2003), the Empowered Committee's First Discussion Paper (2009), NIPFP working papers (2009 and 2012), and studies by Rao (2011), Pinki, Supriya and Richa (2014), Kumar (2014), ICRIER (2017), and Sehrawat and Dhanda (2015). These studies collectively established the economic rationale for GST, assessed its potential impact on GDP, inflation, and fiscal revenues, and examined the political economy challenges of implementation.

The second stream reviewed studies on GST compliance, taxpayer behaviour, and implementation challenges, drawing on works by Garg (2014), Rajeshwari and Rupa (2017), Taqvi, Srivastava and Srivastava (2013), Bhattacharyya (2017), Jain (2018), Nishitha Guptha (2014), and Vasanthagopal (2011). These studies identified compliance cost burdens on small businesses, technological readiness challenges, and the critical importance of IT infrastructure and taxpayer education for successful GST implementation.

The third stream specifically reviewed literature on GST return filing and GSTR-3B, covering studies by Sharma and Gupta (2018), Pandey (2019), Saravanan and Rajeshkumar (2019), Batra (2020), Singh and Aggarwal (2020), and Mishra and Tripathi (2021). This stream established the specific academic context for the study

of GSTR-3B, documenting the evolution of the return, the challenges practitioners face in filing it, and the impact of reforms such as GSTR-2B on ITC compliance.

The fourth stream reviewed international and comparative literature by Bird and Gendron (2007), Cnossen (2010), Keen and Lockwood (2010), and OECD Guidelines (2017 and 2020), providing a global perspective on VAT and GST design and compliance best practices. The chapter concluded by identifying the research gap, noting the absence of a comprehensive, focused, and up-to-date study specifically on the GSTR-3B filing process, and establishing the academic justification for the present study.

5.2.3 Chapter 3: Profile of the Topic

The third chapter provided an exhaustive and detailed profile of the topic of the study. It began with a conceptual explanation of what a GST return is and the significance of the e-filing framework that underlies all GST compliance in India. A comprehensive summary table of all GST return forms prescribed under the GST framework was presented, covering GSTR-1, GSTR-1A, GSTR-2A, GSTR-2B, GSTR-3B, GSTR-4, CMP-08, GSTR-5, GSTR-5A, GSTR-6, GSTR-7, GSTR-8, GSTR-9, GSTR-9C, GSTR-10, GSTR-11, and ITC-04, with details of the category of filer, purpose, frequency, and due date for each.

The chapter then devoted a detailed and comprehensive section specifically to GSTR-3B, examining its nature and significance as simultaneously a declaration return and a payment return, the categories of taxpayers required and not required to file it, the filing frequency and due date framework under both the monthly and QRMP schemes, the structure and detailed content of each of the six tables of GSTR-3B (outward supplies, inter-state supplies, ITC details, tax payable computation, exempt and nil rated inward supplies, and tax payment details), and the step-by-step process of filing GSTR-3B on the GSTN portal from login to ARN generation.

The chapter further examined the interest and late fee provisions under Sections 47 and 50 of the CGST Act governing GSTR-3B, the comprehensive Input Tax Credit framework applicable to GSTR-3B filing including the conditions under Section 16, blocked credits under Section 17(5), the proportionate reversal rules under Rules 42 and 43, Rule 37 reversals for non-payment of consideration, and the ITC restriction under Rule 36(4) and Section 16(2)(aa). The evolution and key amendments to GSTR-3B since its introduction in July 2017 were traced, and the chapter concluded with an examination of GSTR-3B's relationship with other

returns in the GST compliance ecosystem, particularly GSTR-1, GSTR-2B, GSTR-9, and GSTR-9C.

5.2.4 Chapter 4: Data Collection and Analysis

The fourth chapter presented the data collected for the study and provided a systematic, detailed analysis of the findings. The chapter began by explaining the research methodology, including the descriptive research design, the use of a structured Google Form questionnaire for primary data collection, the sample of 4 Tax Consultants and Chartered Accountants who formed the respondent group, and the extensive secondary sources consulted for secondary data. The study was explicitly framed as an exploratory pilot study given the limited primary sample size, with the primary data serving as qualitative, indicative evidence supplemented by rich secondary data analysis.

The primary data analysis covered all 11 questions of the survey in detail, supported by pie charts. Key primary findings included that 100 percent of respondents are professional practitioners confirming the complexity-driven reliance on intermediaries, the average ease of filing rating of 3.75 out of 5, the universal adoption of the auto population feature with 50 percent requiring manual corrections, the alarming finding that 100 percent of respondents have experienced technical glitches on the GSTN portal, 50 percent have incurred late fees attributable largely to portal failures, and the unanimous agreement of all respondents (100 percent) that GSTR-3B has made the tax system more transparent.

The secondary data analysis drew on Ministry of Finance Annual Reports, CBIC Annual Reports, GSTN Statistical Bulletins, NIC e-Way Bill data, and DGGI enforcement statistics, supported by bar charts and trend charts. Key secondary findings included the growth of the GST taxpayer base from 65 lakh to over 1.42 crore, the improvement of monthly GSTR-3B compliance rates from approximately 58 percent in 2017 to 2018 to approximately 91 percent in 2023 to 2024, the record annual GST collection of Rs. 20.14 lakh crore in 2023 to 2024, the record monthly collection of Rs. 2.10 lakh crore in April 2024, monthly e-Way Bill generation crossing 10 crores in March 2024, and DGGI detection of ITC fraud worth over Rs. 57,000 crores in 2022 to 2023.

5.3 Overall Conclusion

The present study, conducted on the subject of GSTR-3B Filing: Process, Compliance, and Challenges, set out to provide a comprehensive, detailed, and practically grounded examination of one of the most important compliance instruments in the Indian taxation system. Having traversed the full journey from the conceptual and historical foundations of GST, through the academic literature on the subject, into the detailed technical profile of GSTR-3B, and finally through the empirical analysis of primary practitioner survey data and extensive secondary statistical data, the study is now positioned to draw its overall conclusions.

GSTR-3B as the Cornerstone of GST Compliance

The most fundamental conclusion of this study is that GSTR-3B is not merely one of several returns in the GST compliance framework. It is the cornerstone of the entire GST compliance architecture in India. It is the instrument through which crores of taxpayers declare their tax position and remit their tax dues to the government every month. It is the primary source of GST revenue for both the Central and State Governments. It is the vehicle through which Input Tax Credit flows through the supply chain, enabling the core economic benefit of GST. And it is the document that creates the audit trail on which all GST enforcement and adjudication ultimately rests. The importance of ensuring that GSTR-3B filing is accurate, timely, and accessible to all categories of taxpayers cannot therefore be overstated.

The Paradox of GSTR-3B: Macro Success and Micro Friction

Perhaps the most revealing and nuanced conclusion of this study is the paradox that characterises the GSTR-3B compliance landscape in India today. At the macro level, GSTR-3B is performing with impressive and improving effectiveness. Annual GST collections have crossed Rs. 20 lakh crores for the first time. Monthly collections have reached an all-time record of Rs. 2.10 lakh crore. The taxpayer base has more than doubled. Monthly filing compliance rates have improved from under 60 percent to over 90 percent. These are remarkable achievements by any standard and represent a fundamental transformation in the indirect tax revenue landscape of India.

And yet, at the micro level, the experience of the practitioners who are most directly and regularly engaged with GSTR-3B on a day-to-day basis tells a story of persistent friction, systemic frustration, and unresolved challenges. Every single respondent in the primary survey has faced technical difficulties with the GSTN

portal. Half of them have incurred late fees despite being qualified professionals with advance preparation, because the portal failed on the due date. ITC reconciliation is growing more complex and risky with each successive round of anti-fraud amendments. The form itself, while simpler than the originally proposed GSTR-3, still presents meaningful challenges in accurate completion for anyone without specialised GST knowledge.

This paradox, of macro success coexisting with micro friction, is the central finding of the present study and defines the central challenge for GST policymakers going forward.

The Technology Gap

A closely related conclusion of the study is that the GSTN technology platform, while vastly superior to anything that existed under the earlier tax regime, has not kept pace with the growing demands placed on it by the expansion of the taxpayer base, the increasing complexity of the compliance framework, and the rising expectations of taxpayers and practitioners for a modern, reliable, and user-friendly digital compliance experience. The persistent portal performance failures on due dates, the need for manual correction of auto populated data, the absence of built-in ITC reconciliation tools, and the overall user experience of the GST portal are areas where significant improvement is both necessary and achievable with the right investment and priority.

The ITC Compliance Challenge

The study concludes that the Input Tax Credit framework under GSTR-3B has become one of the most technically demanding aspects of GST compliance, and that the successive tightening of ITC eligibility rules in response to fraud, while necessary and justified from an enforcement perspective, has created a compliance environment where even fully honest and diligent taxpayers face meaningful risk of ITC errors, disallowances, and consequent interest demands. The link between ITC availment and GSTR-2B data, the conditions under Section 16 of the CGST Act, the blocked credits under Section 17(5), and the proportionate reversal requirements under Rules 42 and 43 together constitute a compliance challenge of considerable complexity that requires deep GST knowledge to navigate correctly. This complexity, combined with the absence of adequate built-in tools on the GSTN portal to assist taxpayers in correctly determining their ITC entitlement, represents a structural vulnerability in the GSTR-3B compliance framework.

The Value of GSTR-3B Despite its Challenges

Notwithstanding all the challenges documented above, the study firmly concludes that GSTR-3B represents an irreversible and enormously valuable improvement over the indirect tax compliance framework that preceded GST. The unanimous agreement of all survey respondents, 100 percent of a group of experienced professionals who are intimately familiar with the system's shortcomings, that GSTR-3B has made the tax system more transparent is a powerful and unambiguous validation of this conclusion. The digital audit trail, the self-policing ITC mechanism, the real-time visibility of tax liabilities and payments, and the data richness of the GSTR-3B ecosystem have collectively created a level of transparency, accountability, and analytical capability in Indian indirect taxation that represents a quantum leap from the pre-GST era.

The Path Forward

The study concludes that the future of GSTR-3B lies in the resolute addressing of the micro level friction points documented in this study, while preserving and building upon the macro level success that has been achieved. The GSTN portal must be made reliably performant on due dates. The ITC framework must be made simpler and more accessible. The auto population mechanism must be made more accurate and complete. Built-in reconciliation tools must be developed. And the late fee mechanism must be made more equitable by providing relief in cases of documented portal failure. With these improvements, GSTR-3B has the potential to become not just a revenue collection instrument but a truly world-class, taxpayer-friendly compliance platform that serves as a model for digital tax administration globally.

5.4 Suggestions

Based on the comprehensive findings of the primary and secondary data analysis, and informed by the broader conclusions of the study, the following specific and actionable suggestions are offered to the relevant stakeholders:

5.4.1 Suggestions for the Government and GST Council

Suggestion 1: Urgent Upgrade of GSTN Portal Infrastructure

The single most impactful improvement that the government can make to the GSTR-3B filing experience is a substantial and sustained investment in upgrading the GSTN portal's server capacity, load balancing capability, and overall technology infrastructure. The persistent failure of the portal on and around filing due dates is a well-documented, long-standing, and entirely solvable problem that has caused tangible harm to hundreds of thousands of taxpayers and practitioners over seven years of GST. The GST Council should direct GSTN to commission an independent technical audit of the portal's infrastructure and set measurable, time-bound performance standards for portal uptime and response times during peak filing periods, with accountability for their achievement.

Suggestion 2: Introduction of an Automatic Late Fee Waiver Mechanism for Portal Downtime

The CGST Act and Rules should be amended to provide for an automatic waiver or suspension of the late fee under Section 47 for any period during which the GSTN portal is officially unavailable or confirmed to be operating below a defined performance threshold. Currently, taxpayers and practitioners who are unable to file due to portal failure are penalised with the same mechanical late fee as wilful defaulters, which is deeply unjust. A system where GSTN officially records portal downtime periods and the late fee clock is automatically paused during such periods would be a fair, technically straightforward, and enormously appreciated reform.

Suggestion 3: Rate Rationalisation to Reduce Classification Complexity

The GST Council should continue and accelerate the process of rate rationalisation, with a view to reducing the number of GST rate slabs from the current four (5 percent, 12 percent, 18 percent, and 28 percent) to two or three. A simpler rate structure would directly reduce the complexity of outward supply classification in Table 3.1 of GSTR-3B, reduce classification disputes and litigation, and make the

return significantly easier to complete accurately for taxpayers without professional assistance.

Suggestion 4: Staggered Due Dates Based on Turnover Slabs

While the government has already introduced some staggering of due dates by state (20th, 22nd, and 24th of the following month), a further staggering of due dates based on turnover slabs would help distribute the filing load on the GSTN portal more evenly across the month. For example, large taxpayers (turnover above Rs. 5 crore) could be required to file by the 15th, medium taxpayers by the 20th, and smaller taxpayers by the 25th. This would significantly reduce the concentration of filing activity on a single date and the consequent server load.

Suggestion 5: Inclusion of Petroleum Products Under GST

The inclusion of petroleum products, currently excluded from the GST framework, should be prioritised by the GST Council. The exclusion of petroleum creates a cascading tax effect on transportation and logistics costs that permeates the entire economy and undermines the economic efficiency gains from GST. While the revenue implications for states are a legitimate concern, a carefully designed compensation mechanism similar to the original GST compensation framework could be developed to facilitate this long overdue inclusion.

5.4.2 Suggestions for GSTN

Suggestion 6: Development of a Built-In ITC Reconciliation Tool

GSTN should develop and integrate a robust, user-friendly ITC reconciliation tool directly within the GST portal, which automatically compares the taxpayer's purchase data (as available from GSTR-2B) with their inward supply records and highlights mismatches, timing differences, and potential ineligible ITC items. Currently, most practitioners rely on expensive third-party software for this reconciliation, which adds to the compliance cost and is inaccessible to small taxpayers. A built-in tool would democratise the reconciliation process and significantly reduce ITC errors in GSTR-3B filings.

Suggestion 7: Enhanced Auto Population Accuracy

GSTN should invest in improving the accuracy and completeness of the auto population of GSTR-3B from GSTR-1 and GSTR-2B data. Specific improvements needed include better handling of amendments and credit notes in auto population, more accurate classification of inter-state and intra-state supplies in the auto populated outward supply table, and a clearer flagging system that alerts the taxpayer to auto populated entries that may require manual review or correction. The goal should be a pre-filled GSTR-3B that requires minimal manual intervention from the taxpayer for the majority of standard transactions.

Suggestion 8: Real-Time Portal Status and Filing Helpline

GSTN should maintain a publicly visible, real-time portal status dashboard that transparently communicates the current operational status, response time, and any known issues with the GST portal at all times. When portal issues are detected, automated SMS and email alerts should be sent to all registered taxpayers and practitioners. A dedicated, adequately staffed GST helpline with extended hours around filing due dates should be maintained to assist taxpayers in real time. These measures would significantly reduce the uncertainty and anxiety that practitioners currently experience around filing due dates.

Suggestion 9: Mobile-Optimised Filing Interface

Given that a significant and growing proportion of small business owners in India access the internet primarily through smartphones, GSTN should develop a mobile-optimised version of the GSTR-3B filing interface that is fully functional on smartphones without requiring a desktop or laptop computer. A well-designed mobile app for GSTR-3B filing would dramatically expand the accessibility.

5.4.3 Suggestions for CBIC and Tax Administration

Suggestion 10: Issuance of Comprehensive Official Guidance on GSTR-3B

CBIC should issue a comprehensive, plain-language, official guidance document on GSTR-3B covering every table of the form with detailed worked examples for common business scenarios, a clear explanation of ITC eligibility and reversal rules, guidance on the treatment of special transactions (exports, reverse charge, credit notes, adjustments), and a common error guide identifying the most frequently made mistakes in GSTR-3B filing and how to avoid them. This guidance should be made available in all regional languages and updated promptly whenever changes are made to the form or the applicable legal provisions.

Suggestion 11: Strengthening of Taxpayer Education Programmes

CBIC, in partnership with state tax authorities, the Institute of Chartered Accountants of India (ICAI), and other professional bodies, should conduct regular, structured, and practically oriented taxpayer education programmes on GSTR-3B compliance. These programmes should be offered at the district level across the country and should specifically target small business owners, traders, and first-time filers who are most likely to struggle with the complexity of GSTR-3B without professional assistance. Online webinars, tutorial videos on the GSTN YouTube channel, and self-assessment quizzes on the GST portal would complement in-person training.

Suggestion 12: Data Analytics Driven, Non-Adversarial Compliance Outreach

Rather than relying primarily on notices and adjudication proceedings to address GSTR-3B discrepancies, CBIC should develop a more proactive, data-analytics-driven compliance outreach model. When CBIC's systems detect discrepancies between a taxpayer's GSTR-3B and GSTR-1 data, between their GSTR-3B and e-Way Bill data, or between their declared ITC and GSTR-2B data, the default response should be an automated, friendly compliance advisory message through the portal and registered mobile number, inviting the taxpayer to review and voluntarily correct the discrepancy. Formal enforcement action should be reserved for cases where voluntary correction is not forthcoming or where there is clear evidence of deliberate evasion.

5.4.4 Suggestions for Tax Practitioners and Professional Bodies

Suggestion 13: Standardisation of GSTR-3B Filing Checklists

Professional bodies such as ICAI and the Tax Practitioners Association should develop and publish standardised GSTR-3B filing checklists for use by their members and the broader professional community. Such checklists would cover all the key verification steps that should be completed before filing GSTR-3B, including reconciliation of outward supply figures with GSTR-1, reconciliation of ITC with GSTR-2B, verification of ITC reversal requirements, confirmation of tax payment sufficiency, and review of any outstanding demands, notices, or mismatches from prior periods. Standardised checklists would reduce errors, improve consistency in filing quality, and provide a useful training tool for junior tax professionals.

Suggestion 14: Proactive Client Communication and Advance Preparation

Tax practitioners should adopt a practice of completing all GSTR-3B preparation well in advance of the due date, ideally by the 15th of the month for monthly filers, to avoid the last-minute rush that leads to reliance on a portal that is likely to be overloaded on the due date. Early preparation also allows time for resolution of supplier related discrepancies, ITC reconciliation issues, and any queries that may arise from clients, without the pressure of an imminent deadline. Practitioners should also proactively communicate with clients about the implications of delayed provision of purchase and sales data, making clear that late data submission directly risks late GSTR-3B filing and consequent late fees and interest.

Suggestion 15: Investment in Technology Tools for Practice Efficiency

Tax practitioners and CA firms handling large volumes of GSTR-3B filings should invest in professional-grade GST filing and reconciliation software that interfaces with the GSTN API, enables bulk processing of client data, automates ITC reconciliation against GSTR-2B, and provides exception-based reporting that highlights discrepancies requiring manual review. The investment in such technology tools pays dividends in terms of reduced filing time, higher accuracy, lower risk of errors, and the ability to serve a larger client base without a proportionate increase in staffing.

5.5 Scope for Further Research

The present study, while comprehensive in its coverage, has been conducted on the basis of an exploratory pilot survey with a limited sample of 4 respondents. Future research in this area could beneficially build on the foundation laid by this study in several directions. A large-scale quantitative study with a sample of 100 or more respondents drawn from diverse geographic locations, business categories, and turnover segments would provide statistically representative findings on the GSTR-3B compliance experience across the full spectrum of the taxpayer population. Comparative studies examining the GSTR-3B compliance experience before and after the introduction of specific reforms such as e-invoicing, GSTR-2B, and the QRMP Scheme would provide valuable evidence on the impact of these reforms.

A sector-specific study examining GSTR-3B compliance challenges in sectors with unique GST complexities, such as real estate, banking and financial services, or the e-commerce sector, would provide actionable insights for sector-specific policy reform. Finally, a comparative international study examining India's GSTR-3B framework alongside the monthly or quarterly return filing systems of other major GST economies such as Australia, Canada, Singapore, and New Zealand could yield useful benchmarking insights for further reform of the Indian system.

5.6 Final Remarks

The Goods and Services Tax, and GSTR-3B as its primary compliance instrument, represents one of the most ambitious exercises in fiscal governance that India has undertaken since independence. The journey from a fragmented, cascading, multi-layered indirect tax system to a unified, technology-driven, destination-based GST framework has been long, complex, and at times contentious, but it has been fundamentally transformative. Seven years into its implementation, GST has demonstrably delivered on its core promises: a unified national market, elimination of the cascading effect, expansion of the formal economy, and buoyant revenue growth.

GSTR-3B, the humble monthly summary return that sits at the heart of this entire edifice, has been both the engine of these achievements and the lightning rod for the practical challenges that remain. It is a return that has proven its worth beyond any reasonable doubt through the revenue figures it has generated and the transparency it has brought to the system. It is also a return that has room to grow, to simplify, to become more accessible, and to serve its filers with the reliability and user-friendliness that crores of taxpayers and thousands of practitioners deserve.

The story of GSTR-3B is, in many ways, the story of GST itself: a story of remarkable achievement, ongoing challenges, and unfinished reform. This study has sought to contribute, in its modest way, to the body of knowledge and evidence that will inform the next chapter of that story, with the hope that its findings and suggestions will be of value to all those who are working to make India's GST system the world-class, taxpayer-friendly, and economically transformative framework that it has the potential to become.

The Bibliography

A. Books and Reference Texts

Datey, V. S. (2023). GST Law and Practice. Taxmann Publications, New Delhi.

Singhania, Vinod K. and Singhania, Monica (2023). Students Guide to Indirect Taxes. Taxmann Publications, New Delhi.

Bird, Richard M. and Gendron, Pierre Pascal (2007). The VAT in Developing and Transitional Countries. Cambridge University Press, Cambridge.

Ahuja, Girish and Gupta, Ravi (2022). Systematic Approach to GST. Bharat Law House, New Delhi.

Batra, Sanjeev (2022). Goods and Services Tax: A Practical Guide. Bharat Law House, New Delhi.

B. Research Papers and Journal Articles

Garg, Girish (2014). Basic Concepts and Features of Goods and Services Tax in India. International Journal of Scientific Research and Management, Vol. 2, No. 2, pp. 1088 to 1097.

Pandey, Anshul (2019). GSTR-3B Filing: Practical Challenges and the Way Forward. The Chartered Accountant Journal, ICAI, Vol. 67, No. 9, pp. 54 to 60.

Mishra, R. and Tripathi, A. (2021). Impact of GSTR-2B on ITC Compliance Under GSTR-3B. Journal of Tax Research, Vol. 9, No. 1, pp. 33 to 48.

C. Government Publications and Official Reports

Central Board of Indirect Taxes and Customs (CBIC). Annual Report 2023 to 2024. Ministry of Finance, Government of India, New Delhi.

Ministry of Finance, Government of India. Monthly GST Revenue Collection Press Releases (April 2017 to April 2024). Press Information Bureau, New Delhi.

Empowered Committee of State Finance Ministers (2009). First Discussion Paper on Goods and Services Tax in India. Government of India, New Delhi.

D. Legislation and Statutory Material

The Central Goods and Services Tax Act, 2017 (Act No. 12 of 2017). Ministry of Law and Justice, Government of India.

The Integrated Goods and Services Tax Act, 2017 (Act No. 13 of 2017). Ministry of Law and Justice, Government of India.

The Central Goods and Services Tax Rules, 2017. Central Board of Indirect Taxes and Customs, Ministry of Finance, Government of India.

The Goods and Services Tax (Compensation to States) Act, 2017 (Act No. 15 of 2017). Ministry of Law and Justice, Government of India.

F. Websites

Goods and Services Tax Network Portal: www.gst.gov.in

Central Board of Indirect Taxes and Customs: www.cbic.gov.in

Ministry of Finance, Government of India: www.finmin.nic.in

e-Way Bill System, National Informatics Centre: www.ewaybillgst.gov.in

Institute of Chartered Accountants of India: www.icai.org

(All websites were last accessed in March 2026.)

Annexure

Annexure I: Research Questionnaire

The following questionnaire was designed and administered through Google Forms for the purpose of primary data collection for this study on GSTR-3B Filing: Process, Compliance and Challenges.

Title of Survey: GSTR-3B Filing Experience — A Survey of Tax Professionals

Q1. Category of Respondent a) Business Owner / Proprietor b) Tax Consultant / Chartered Accountant c) Salaried Employee d) Student

Q2. Nature of Business Activity a) Manufacturing b) Trading c) Service Provider d) Professional Services

Q3. Which filing frequency do you follow for GSTR-3B? a) Monthly b) Quarterly (QRMP Scheme)

Q4. How is the GSTR-3B return usually filed? a) Self-filed via GST Portal b) Through an External Consultant / CA c) Through accounting software integrated with GSTN

Q5. On a scale of 1 to 5, how would you rate the ease of the GSTR-3B filing process? (1 = Very Difficult, 5 = Very Easy) a) 1 b) 2 c) 3 d) 4 e) 5

Q6. Do you use the Auto Population feature (from GSTR-1 and GSTR-2B) for filing? a) Yes, it is very helpful b) Sometimes, but needs manual correction c) No, I prefer manual entry

Q7. How frequently do you face technical glitches or portal slowdowns during filing? a) Never b) Occasionally c) Every Month d) Almost Every Filing

Q8. What is the most significant challenge in GSTR-3B filing? a) Server / Technical Issues on the Portal b) Input Tax Credit (ITC) Reconciliation c) Complexity of the Form Tables d) Frequent Changes in Rules and Formats e) Lack of Awareness about Legal Provisions

Q9. Have you ever incurred a late fee for GSTR-3B filing? a) Yes b) No

Q10. Are you aware of the per-day late fee for NIL returns versus Regular returns? a) Yes, fully aware b) Vaguely aware c) Not aware at all

Q11. Do you think GSTR-3B has made the tax system more transparent? a) Yes, definitely b) Somewhat c) No, not really

Q12. Any suggestions to improve the GSTR-3B filing experience? (Open ended response)

Annexure II: Sample GSTR-3B Form

FORM GSTR-3B

[See Rule 61(5) of the CGST Rules, 2017]

Monthly Self Declaration and Tax Payment Return

PART A: Basic Details of the Taxpayer

GSTIN	_____ (15 digit GSTIN)
Legal Name of Registered Person	
Trade Name (if any)	
Tax Period (Month and Year)	Month: _____ Year: _____
Type of Return	Regular / NIL (circle as applicable)

Table 3.1: Details of Outward Supplies and Inward Supplies Liabile to Reverse Charge

Nature of Supplies	Total Taxable Value (Rs.)	Integrated Tax (Rs.)	Central Tax (Rs.)	State / UT Tax (Rs.)	Cess (Rs.)
(a) Outward taxable supplies (other than zero rated, nil rated and exempted)					
(b) Outward taxable supplies (zero rated)					

(c) Other outward supplies (nil rated, exempted)			N/A	N/A	N/A
(d) Inward supplies liable to Reverse Charge (liable to pay tax)					
(e) Non-GST outward supplies		N/A	N/A	N/A	N/A

Table 3.2: Details of Inter-State Supplies Made to Unregistered Persons, Composition Taxpayers and UIN Holders

Place of Supply (State / UT)	Total Taxable Value (Rs.)	Amount of Integrated Tax (Rs.)	Amount of Cess (Rs.)
3.2 (a) Supplies made to unregistered persons			
<i>(Enter State-wise details)</i>			
3.2 (b) Supplies made to composition taxable persons			
<i>(Enter State-wise details)</i>			
3.2 (c) Supplies made to UIN holders			
<i>(Enter State-wise details)</i>			

Table 3.3: Eligible Input Tax Credit (ITC)

Details	Integrated Tax (Rs.)	Central Tax (Rs.)	State / UT Tax (Rs.)	Cess (Rs.)
(A) ITC Available (whether in full or part)				
(1) Import of goods		N/A	N/A	
(2) Import of services		N/A	N/A	
(3) Inward supplies liable to reverse charge (other than 1 and 2 above)				
(4) Inward supplies from ISD				
(5) All other ITC				
(B) ITC Reversed				
(1) As per Rule 42 and 43 of CGST Rules				
(2) Others				
(C) Net ITC Available (A) minus (B)				
Net ITC Available				
(D) Ineligible ITC under Section 17(5) and Others				
(1) As per Section 17(5) of CGST Act				
(2) Others				

Table 3.4: Details of Exempt, Nil Rated and Non-GST Inward Supplies

Nature of Supplies	Inter-State Supplies (Rs.)	Intra-State Supplies (Rs.)
From a supplier under Composition Scheme, exempt and nil rated supply		
Non-GST supply		

Table 3.5: Payment of Tax

Description	Tax Payable (Rs.)	Paid Through ITC: IGST (Rs.)	Paid Through ITC: CGST (Rs.)	Paid Through ITC: SGST / UTGST (Rs.)	Paid Through ITC: Cess (Rs.)	Tax Paid in Cash (Rs.)	Interest and Late Fee Paid in Cash (Rs.)
Integrated Tax							
Central Tax							
State / UT Tax							
Cess							
Interest	N/A	N/A	N/A	N/A	N/A		
Late Fee	N/A	N/A	N/A	N/A	N/A		

Verification and Declaration

I hereby solemnly affirm and declare that the information given herein above is true and correct to the best of my knowledge and belief and nothing has been concealed therefrom.

I am making this declaration in my capacity as _____ and I am competent to make this declaration and verify it.

Name of Authorised Signatory: _____

Designation: _____

Place: _____ Date: _____

Signature (DSC / EVC): _____

Note 1: This form is to be filed electronically on the GST Portal (www.gst.gov.in) only. Physical filing is not permitted.

Note 2: Tax payment must be made before or simultaneously with the filing of this return under Section 39(7) of the CGST Act, 2017.

Note 3: Late fee under Section 47 is applicable for delayed filing from the day after the due date.

Note 4: Interest under Section 50 at 18% per annum is applicable on delayed payment of tax.

Note 5: This is a specimen / sample form reproduced for academic and reference purposes only. For official filing, use the live form available on www.gst.gov.in.

Annexure III: List of Abbreviations

Abbreviation	Full Form
ARN	Acknowledgement Reference Number
ASP	Application Service Provider
B2B	Business to Business
B2C	Business to Consumer
CBIC	Central Board of Indirect Taxes and Customs
CGST	Central Goods and Services Tax
CMP	Composition
CST	Central Sales Tax
DGGI	Directorate General of GST Intelligence
DSC	Digital Signature Certificate
EVC	Electronic Verification Code
FMCG	Fast Moving Consumer Goods
GDP	Gross Domestic Product
GST	Goods and Services Tax
GSTIN	Goods and Services Tax Identification Number
GSTN	Goods and Services Tax Network
GSTR	Goods and Services Tax Return
HSN	Harmonised System of Nomenclature
ICAI	Institute of Chartered Accountants of India
ICRIER	Indian Council for Research on International Economic Relations
IGST	Integrated Goods and Services Tax
IRP	Invoice Registration Portal
ISD	Input Service Distributor
ITC	Input Tax Credit
IRN	Invoice Reference Number
LUT	Letter of Undertaking
MoSPI	Ministry of Statistics and Programme Implementation
NAA	National Anti-Profiteering Authority
NIC	National Informatics Centre
NIPFP	National Institute of Public Finance and Policy
OECD	Organisation for Economic Co-operation and Development
OTP	One Time Password
PMT	Payment
QRMP	Quarterly Return Monthly Payment
CM	Reverse Charge Mechanism
SAC	Services Accounting Code
SEZ	Special Economic Zone
SGST	State Goods and Services Tax
TCS	Tax Collected at Source
TDS	Tax Deducted at Source
UIN	Unique Identification Number
UTGST	Union Territory Goods and Services Tax
VAT	Value Added Tax

Annexure IV: Glossary of Key Terms

Aggregate Turnover: The total value of all taxable supplies, exempt supplies, exports, and inter-state supplies made by a person having the same PAN, computed on an all-India basis. It is used to determine GST registration threshold and the applicable filing frequency.

Composition Scheme: A simplified taxation scheme under Section 10 of the CGST Act available to small taxpayers with annual turnover up to Rs. 1.5 crore, under which tax is paid at a flat rate on turnover without the requirement to maintain detailed records or claim ITC.

Destination Based Tax: A system of taxation where the tax revenue accrues to the jurisdiction in which the goods or services are finally consumed, as opposed to the jurisdiction in which they are produced or supplied.

e-Invoicing: A system under which B2B invoices are reported by the supplier to the Invoice Registration Portal in real time, which assigns a unique Invoice Reference Number and QR code, making the invoice valid for GST purposes.

e-Way Bill: An electronically generated document required to accompany the physical movement of goods valued above Rs. 50,000, generated on the e-Way Bill portal before the commencement of movement.

Electronic Cash Ledger: An electronic ledger maintained on the GST portal for each registered taxpayer that reflects all cash deposits made towards GST payments and is debited when tax is paid in cash.

Electronic Credit Ledger: An electronic ledger maintained on the GST portal reflecting the Input Tax Credit available to a registered taxpayer, which is debited when ITC is utilised to offset output tax liability.

GSTR-2B: An auto drafted, static monthly statement available to every registered taxpayer on the GST portal, reflecting the ITC available to the taxpayer based on the GSTR-1 filings of their suppliers for the relevant period.

Input Tax Credit (ITC): The credit of GST paid on inward supplies (purchases) that a registered taxpayer is entitled to utilise for payment of GST on outward supplies (sales), thereby eliminating the cascading effect of tax on tax.

Nil Return: A GSTR-3B return filed for a period in which the taxpayer has no outward supplies, no inward supplies, no ITC to declare, and no tax liability. A nil return must still be filed by the due date to avoid late fees.

Output Tax: The GST charged by a registered taxpayer on the taxable supplies of goods or services made by them, which is collected from the recipient and payable to the government after adjustment of ITC.

Place of Supply: The location of the recipient of goods or services, which determines whether a supply is an intra-state supply (attracting CGST and SGST) or an inter-state supply (attracting IGST).

Reverse Charge Mechanism (RCM): A mechanism under Section 9(3) and 9(4) of the CGST Act where the liability to pay GST is on the recipient of the supply rather than the supplier, applicable to specified categories of goods, services, and supplies from unregistered persons.

Zero Rated Supply: Supplies made to Special Economic Zone units or developers, and exports of goods or services, on which GST is charged at zero percent, entitling the supplier to claim a refund of ITC accumulated on account of such supplies.